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வலுசக்தி அமைச்சு
MINISTRY OF ENERGY

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මගේ අංකය எனது இல My No.	PE/TEN/CANC/SC/2025/21	ඔබේ අංකය உமது இல Your No.		දිනය திகதி Date	.08.2025

Cabinet Memorandum No: 102/2025/P

Cabinet Memorandum

Implementation of Renewable Energy Projects received through Expressions of Interests (EOI) process

1. Background

The State Ministry of Solar, Wind, and Hydro Power Generation projects Development was initiated to call the Expression of Interest (EOI) process in 2021 from the prospective investors to develop Renewable Energy Generation Projects with capacity of 50 MW or above through cabinet memorandum 21/1598/318/043 of 30th August 2021 aiming to generate and supply electricity from solar, wind, and hydro sources under a Build, Own, and Operate model. Accordingly prospective investors (foreign and Local) were invited to submit their proposals to develop and generate energy through renewable energy through resources such as Solar (floating/Ground mounted), Wind (Ground based/Offshore), Biomass etc and supply such electrical energy to the Ceylon Electricity Board. The Minimum Electrical generation capacity of a single project shall not be less than 50 MW. The prospective investors should require to fulfil the requirements of the Sri Lanka Electricity Act No.20 of 2009 (as amended) and Sri Lanka sustainable Energy Authority Act No.35 of 2007. Total no of 533 proposals received in response to the invitation and 136 proposals out of 533 proposals were unique to a specific location, each representing a single proposal per location and 49 out of 139 investors confirmed continued interest to proceed with their proposals.

As deviations from the established procurement procedures were identified, particularly regarding compliance with the Sri Lanka Electricity Act No. 20 of 2009, the Cabinet Memorandum no. 24/2324/825/021 dated 26.12.2024 **(Annexure 1)** by recommending the revocation of five Cabinet decisions on the EOI process. In response to these concerns, the Cabinet, in consultation with the Ministry of Finance, Planning and Economic Development recommended the formation of an Expert Committee to review the aforesaid Cabinet paper, evaluate the potential legal and economic ramifications of these recommendations to ensure the countries energy security, and ensure the country's energy security at the Cabinet meeting held on 06.01.2025 **(Annexure 2)**. The committee was tasked with preparing a detailed report for Cabinet submission with findings and recommendations. Accordingly, Secretary of the Ministry of Energy appointed a five-member Expert Committee on 03.02.2025 to conduct the review and the committee completed its evaluation and submitted a comprehensive report on 28.02.2025 **(Annexure 3)**.

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As per the Report submitted by Expert Committee, two optional remedial measures recognized to proceed with the specified 49 EOI projects within the legal frame work of the Sri Lanka Electricity Act No. 20 of 2009 and those are as follows,

Option 1

Introduction of a "Standardized Tariff" and "Standardized Power Purchase Agreement -SPPA" for the renewable energy projects exceeding the threshold of 10 MW in accordance with the Section 43(4)(b) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) to bring the EOI projects within the statutory exemption. This was proposed in the Cabinet Memorandum No. 24/2324/825/021 dated 26.12.2024. Also the preparation of "Standardized Tariff" and SPPA was proposed in the Cabinet Memorandum dated 26.12.2024. It is required to advice the project proponents/developers to accept the "Standardized Tariff" and SPPA. This option may be the shortest possible solution with the concerns of the time limitation and solid legal background.

Option 2

Proceed with Limited Competitive Bidding under the National Procurement Guidelines Applicable for Private Sector Investments for Infrastructure Projects - Part II - Chapter XIV -1998 among the shortlisted/prequalified 49 proponents/developers, considering the facts referred in the paragraph 4. of the Expert Committee Report to regularize this procurement to fall in line with the provisions Sri Lanka Electricity Act No. 20 of 2009 (as amended) with consultation with the relevant authorities.

2. Current situation and Justification

2.1 Referring the two options recognized by the aforementioned Expert Committee, Cabinet memorandum dated 10.03.2025 **(Annexure 4)** was submit for the consideration of the Cabinet of Ministers. By considering the Expert Committee report dated 28.02.2025 and the observations of the Minister of Finance, Planning and Economic Development dated 16.03.2025 **(Annexure 5)**, Cabinet of Ministers at its meeting held on 17.03.2025 decided the following **(Annexure 6)**;

(i) To take necessary action to obtain the view and the concurrence of the National Procurement Commission (NPC) pertaining to pursuing action as recommended in below mentioned sub paragraphs of 4.1 and 4.4 of the Cabinet memorandum dated 10.03.2025, in the first instance.

Sub para 4.1 – to allow investors to select Option 1 or Option 2 s per the preference by considering the time constraint.

Sub para 4.4 – To authorize the Secretary to the Ministry of Energy to make necessary arrangements to proceed competitive bidding process with the investors, who selected option 2.

(ii) To grant approval as follows;

(a) If the concurrence is granted by the NPC as referred to at (i) above, to provide opportunity for the investors, from among those who have submitted Expression of Interest, to select option 1 or Option 2 recommended by the Expert Committee, as applicable only for the investors who have any legal commitment in accordance with the methodology adopted by the Ministry of Energy/Ceylon Electricity Board up to now.

(b) To pursue actions as recommended in sub paragraph 4.2 of the Cabinet memorandum dated 10.03.2025, subject to taking actions giving due consideration to the matters stated in para 2 of the observations of the Minister of Finance, Planning and Economic Development.

(c) To take action as recommended in sub paragraph 4.6 of the Cabinet Memorandum.

(iii) To authorize the secretary to the Finance, Planning and Economic Development to pursue action to appoint Project Committee (PC) and Cabinet Appointed Negotiation Committee (CANC) for Option 1 and appoint Bid Evaluation Committee (BEC) and Standing High Level Procurement Committee (SHLPC) for Option 2, subject to the concurrence of the NPC for above (i).

(iv) To authorize the Secretary, Ministry of Energy to appoint a Special team to handle the relevant Renewable Energy projects and to appoint a Steering Committee to monitor , expedite and facilitate the signing of the Standard Power purchase agreement (SPPA) with investors having a legal commitment pertaining to above projects as recommended in sub para 4.5 of the cabinet memorandum.

2.2 National Procurement Commission has granted their concurrence (**Annexure 7**) for 4.1 (subject to the following), 4.2 and 4.3 of the Cabinet Memorandum dated 10.03.2025;

a) Allowing investors to select either Option 1 or Option 2 , or both Options as recommended by the expert committee

b) Evaluating and selecting suitable investors through a mechanism determined by the relevant project committee

c) Incorporating these provisions in to the procurement documents

2.3 As per the aforementioned Cabinet decision, department of Public Finance has appointed a PC and CANC for Option 1. Further, Secretary, Ministry of Energy has appointed 02 Special Committees for "Standardized Tariff" and "Standardized Power Purchase Agreement" to assist the PC.

2.4 Accordingly, Drafted "Standardized Tariff" and "Standardized Power Purchase Agreement" for renewable energy projects exceeding 10 MW in order to proceed with execution of the Cabinet Decision by providing opportunity for the investors to select either Option 1 or Option 2 as per their preferences to develop the projects have been submitted by Special Committees referred at 2.3 above and PC has submitted their report dated 11.06.2025 (**Annexure 8**).

2.5 Proposed "Standardized Tariff" for Solar and Wind power projects are as follows;

Tariff for Solar - 18.00 LKR/kWh

Tariff for Wind - 20.30 LKR/kWh

2.6 The drafted SPPA was shared with forty nine EOI developers as per the directions of the CANC, for the purpose of obtaining their comments and positions including proposals for the Standardized Tariff. Based on the comments received from EOI developers, the PC submitted its report dated 14.07.2025 (**Annexure 9**) with its observations and recommendations for amendments to the draft SPPA with no changes to the Standardized Tariff proposed.

2.7 Further, CANC has considered the possibility of adding transmission infrastructure through the developers with an annuity payment since the majority of proposals included transmission lines longer than 10 km. Thus, CEB submitted a report with recommendations on whether the transmission lines longer than 10 km, as proposed by majority of EOI developers, are consistent with the existing 10-year Transmission Plan and the Long-Term Generation Expansion Plan of the CEB and fulfill the requirements of the plans (**Annexure 10**).

2.8 CANC has considered the report submitted by CEB mentioned at 2.7 above along with the PC report dated 18.08.2025 **(Annexure 11)** on the same.

2.9 Also, it is noted that the Association of EOI Renewable Project Developers has pointed out the fact that a Project Implementation Agreement should be provided to the Project Developers who brings the Foreign Direct Investment through the Board of Investment which is 70% of the total project value. It is observed that the signing of an Implementation Agreement would be required for the proposed World Bank Guarantee mechanism, therefore, it is appropriate to consider the request of EOI developers.

3. Recommendation

3.1 Accordingly, CANC has decided the following at its meeting held on 18.08.2025 **(Annexure 12)** and I recommend the same hereby.

(a) To approve the technology-specific Standardized Tariffs and the draft Standardized Power Purchase Agreement (SPPA) for renewable energy projects exceeding 10 MW, in order to bring the EOI projects within the statutory exemption under the existing Sri Lanka Electricity Act.

(i) Technology specific solar and wind Tariffs:
Solar plant - 18.00 LKR/kWh
Wind plant - 20.30 LKR/kWh

The technology-specific Standardized Tariffs recommended above have been formulated based on the financial input parameters listed in **Annexure 13**.

(ii) The Draft SPPA is attached as **Annexure 14.**

(b) (i) To offer the technology-specific Standardized Tariffs mentioned at 3.1 (a) (i) above to the short listed forty-nine (49) EOI developers, who have obtained the Energy Permit, secured lands for the projects and fall within the capacity additions specified in the approved Long Term Generation Expansion Plan.

(ii)To invite them to sign the SPPA before the Appointed Date to be declared under the provisions of Sri Lanka Electricity Act (as amended) for the financing, design, engineering, construction, commissioning, operation and maintenance of the power plant, transmission line and related transmission infrastructure required to connect the respective EOI project to the national grid.

(c) In the event that any EOI developer is unwilling to accept the offer specified at 3.1 (b) (i) above, to consider such EOI developer for negotiations over of the transmission line and related transmission infrastructure identified in the approved CEB Transmission Development Plan, for the purpose of connecting the respective EOI project to the national grid under a suitable payment scheme, through a Transmission Agreement to be executed prior to the Appointed Date to be declared under the provisions of Sri Lanka Electricity Act (as amended), subject to the subsequent approval of the Cabinet of Ministers.

3.2 Further, I recommend to authorize the Secretary to the Ministry of Finance Planning and Economic Development to enter in to Implementation Agreement with EOI developers who brings Direct Foreign Investment with 70% or above of the total project value, through the Board of Investment.

4 Approval Sought

Perusing the above, the approval of the Cabinet of Ministers is sought for 3.1 (a) (i) & (a) (ii), (b) (i) & (b) (ii), (c) and 3.2 above.

Eng. Kumara Jayakody
Minister of Energy
26/ 08/ 2025

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Cabinet Memorandum No: 128/2024/P

Cabinet Memorandum

Regularising the Implementation of Renewable Energy Projects Received Through Expressions of Interest (EOI) Process.

1. Background

An Expressions of Interest (EOI) process commenced following the Cabinet approval granted on 30th August 2021 considering the Cabinet memorandum 21/1598/318/043. The process was initiated by State Ministry of Solar, Wind and Hydro Power Generation Projects Development in September 2021 by inviting 'Proposals to Generate and Supply of Electrical Energy from Renewable Energy Resources on Build Own and Operate Basis'.

2. Current Status

The Cabinet of Ministers has granted approval on 13th March 2023 and 02nd May 2023 considering Cabinet memoranda 23/0426/621/016 and 23/0798/621/016-II respectively, for adopting a methodology for determination of standardized tariff and a variable tariff calculation of standardized tariff for renewable energy plants having capacity above 10MW and to be governed by a Standardized Power Purchase Agreement (SPPA).

Subsequently, the following two projects that came through this EoI process, were granted Cabinet approval for awarding.

I. Establishment of a 700MW solar park facility at Poonakary tank on Build, Own and Operate (BOO) basis with a 20-year operational period.

II. Development of a 100MW solar park facility at Oddamawadi on BOO basis and construction of its 132kV transmission facility on turnkey basis.

Thereafter, considering the Cabinet memorandum 24/1057/621/053 on 11th June 2024, Cabinet of Ministers has granted approval to a further 47 projects shortlisted from the EOI process identified as 'only one proposal was received' for a specific site. Also, the same Cabinet approval outlined a procedure for implementing these project proposals. Summary details of the 47 potential projects eligible to come under this scheme is given in Annex 1.

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However, there are several fundamental issues identified in the above process / approvals, as detailed in the **Appendix-1**, that prevent any of the above projects from proceeding to the stage of signing a power purchase agreement.

3. Proposal

The EOI process had many deviations from the set procedures for procuring power plants in compliance with Sri Lanka Electricity Act no 20 of 2009 (as amended). Yet the shortlisted developers have already put in their efforts to secure approvals from different agencies, keeping faith on government authorities to facilitate their projects toward an award of tariffs and power purchase agreements. Therefore, it is necessary to develop a workable solution, to enable these projects to proceed, within the provisions of Sri Lanka Electricity Act no 20 of 2009 (as amended).

In this regard, the announcement of a technology-specific (i.e. separate tariffs for solar & wind) standardized tariff (i.e. non-negotiable) for renewable energy power plants above 10MW capacity, along with a SPPA, is the only feasible option to align this procurement process with the prevailing Sri Lanka Electricity Act no 20 of 2009 (as amended), while ensuring least cost principles of producing electricity, as enshrined in the Act.

4. Recommendations

In consideration of all above, the following are recommended for the projects mentioned in (2) above to the approval of the Cabinet of Ministers;

4.1) Revoke the following Cabinet decisions in order to proceed with the proposal made in paragraph 3 above.

No	Date of Cabinet decision	Cabinet memorandum number	Cabinet memorandum title
I	13th March 2023	23/0426/621/016	A methodology for determination of standardized tariff for procurement of electrical energy using non-conventional renewable energy resources (NCRE). (Annex 2)
II	02nd May 2023	23/0798/621/016-II	Introduction of a methodology for the calculation of standardized tariff for procurement of electrical energy using non-conventional renewable energy resources (NCRE). (Annex 3)
III	11th December 2023	23/2381/621/070-1/TBR	700MW solar power project installed on the surface of the Poonakary tank with 750MWh of battery and additional 350MWh of battery installed at Kilinochchi grid substation. (Annex 4)
IV	11th March 2024	24/0454/621/028	Establishment of 100MW Oddamawadi, Batticaloa solar power project on build own and operate basis with 20-years operational period. (Annex 5)
V	11th June 2024	24/1057/621/053	Implementation of renewable energy projects received through expression of interest (EOI). (Annex 6)

4.2) Authorise Secretary to Ministry of Energy to appoint two committees to formulate technology-specific (for solar & wind) standardized tariffs (considering geographical locations, the investment on transmission interconnection to be included in the tariff) and a SPPA, for renewable energy power plants mentioned in (2) and submit to the approval of Cabinet of Ministers. This standardized tariff and the standardized power purchase agreement will be non-negotiable.

5. Approval

The approval of the Cabinet of ministers is sought for the recommendations outlined in the sub paragraphs of 4.1 and 4.2 above.

Eng. Kumara Jayakody (M.P.)
Minister of Energy
26.12.2024

Annexure 2

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அமைச்சரவை அலுவலகம்
OFFICE OF THE CABINET OF MINISTERS

CABINET DECISION **අමාත්‍ය මණ්ඩල තීරණය** **அமைச்சரவைத் தீர்மானம்**

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(බලශක්ති ගරු ඇමතිතුමා ඉදිරිපත් කළ 2024-12-26 දිනැති සංදේශය)

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19. අමාත්‍ය මණ්ඩල පත්‍රිකා අංක 24/2324/825/021 වූ, "අභිප්‍රාය පළ කිරීමේ යෝජනා කැඳවීමේ ක්‍රියාවලිය හරහා ලැබී ඇති පුනර්ජනනීය බලශක්ති ව්‍යාපෘති ක්‍රියාවට නැංවීම විධිමත් කිරීම" යන මැයෙන් බලශක්ති ඇමතිතුමා ඉදිරිපත් කළ 2024-12-26 දිනැති සංදේශය - ඉහත සඳහන් සංදේශය මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන ඇමතිතුමාගේ නිරීක්ෂණ සමඟ සලකා බලන ලදී. මේ පිළිබඳව සාකච්ඡා කිරීමෙන් අනතුරුව, පහත සඳහන් පරිදි බලශක්ති අමාත්‍යාංශයේ ලේකම්ට නියම කිරීමට තීරණය කරන ලදී:

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(i) මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන ඇමතිතුමා විසින් මේ සම්බන්ධයෙන් ඉදිරිපත් කරනු ලැබ ඇති නිරීක්ෂණවල අවධාරණය කරනු ලැබ ඇති කරුණු, සංදේශයේ නිර්දේශිත පරිදි අදාළ අමාත්‍ය මණ්ඩල තීරණ අවලංගු කිරීම හේතුවෙන් පැන නැගිය හැකි නීතිමය හා ආර්ථිකමය බලපෑම් සහ රටේ අනාගත බලශක්ති සුරක්ෂිතතාව කෙරෙහි නිසි සැලකිල්ලක් යොමු කරමින්, සංදේශයේ සඳහන් නිර්දේශ පිළිබඳව වැඩිදුරටත් කරුණු අධ්‍යයනය කර නිර්දේශ සහිත සවිස්තරාත්මක වාර්තාවක් ඉදිරිපත් කිරීම පිණිස භාණ්ඩාගාරයේ ලේකම් විසින් නම් කරනු ලබන භාණ්ඩාගාරයේ නියෝජ්‍ය ලේකම්වරයෙකුගේ සභාපතිත්වය යටතේ අදාළ සියලුම ක්ෂේත්‍රයන් නියෝජනය වන පරිදි විශේෂඥ කමිටුවක් පත් කිරීම සඳහා අවශ්‍ය පියවර ගැනීම; සහ

(ii) ඉහත (i)හි සඳහන් පරිදි පත් කරනු ලබන විශේෂඥ කමිටුව විසින් ඉදිරිපත් කරනු ලබන සවිස්තරාත්මක වාර්තාව, සලකා බැලීම පිණිස, සති දෙකක් (02) තුළ ඇමතිතුමා මඟින් අමාත්‍ය මණ්ඩලය වෙත ඉදිරිපත් කිරීම.

තවද, මෙම තීරණය සම්මත කරනු ලැබූ සේ සැලකීමටත්, ඒ අනුව අවශ්‍ය කටයුතු සඳහා අදාළ බලධාරීන් වෙත මෙම තීරණය දන්වා යැවීම පිණිස අමාත්‍ය මණ්ඩලයේ ලේකම්ට බලය පැවරීමටත් තීරණය කරන ලදී.

ක්‍රියා කළ යුතු: මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන අමාත්‍යාංශය

බලශක්ති අමාත්‍යාංශය - ගරු ඇමතිතුමාගේ අවධානයට යොමු කිරීම පිණිස - ඉහත නිරීක්ෂණ යා කොට ඇත.

සභාපති, ශ්‍රී ලංකා සුනිත්‍ය බලශක්ති අධිකාරිය - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

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පිටපත්: **ජනාධිපති ලේකම්** - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

නීතිපති - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

අග්‍රාමාත්‍ය ලේකම් - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

Annexure 3

Regularizing the implementation of Renewable Energy Projects received through the Expression of Interest (EOI) Process

Report of the Committee as per the Cabinet decision No. 24/2324/825/012 dated 06.01.2025

1. Background

1.1 The purpose of this report is to examine the recommendations made in the Cabinet Memorandum No. 24/2324/825/012 dated 26.12.2024 submitted by the Hon. Minister of Energy, and submit a comprehensive Report with recommendations, giving due consideration to the matters highlighted in the observations submitted by the Hon. Minister of Finance, Planning and Economic Development in this regard, the legal and economic impacts that may arise owing to the cancellation of the relevant Cabinet decisions as recommended in the Memorandum dated 26.12.2024 and the future energy security of the country as decided by the Cabinet of Ministers at its meeting held on 06.01.2025.

1.2 In pursuance with the aforementioned Cabinet decision dated 06.01.2025, undersigned Committee has been appointed by the Secretary, Ministry of Energy by his letter No. PE/DEV/02/04 dated 03.02.2025. The Terms of Reference (TOR) issued in the said letter is as follows.

(i) Review the recommendations made in the aforesaid Cabinet Memorandum
(ii) Evaluate the potential legal and economic ramifications of these recommendations to ensure the country's energy security
(iii) Prepare a detailed report on the findings and recommendations for the Cabinet of Ministers

2. Deliberations/Observations of the Committee

2.1 The Committee had its first meeting on 11.02.2025 in the Ministry of Energy. Attendance of the meeting as follows.

Mr. H.C.D.L Silva, Deputy Secretary to the Treasury - Chairman
Mr. K.L.R.C.Wijayasinghe, Additional Secretary, Ministry of Energy
Dr. Tilak Siyambalapitiya, Chairman, Ceylon Electricity Board
Prof. T.M.W.J.Bandara, Chairman, Sri Lanka Sustainable Energy Authority
Dr. Sunimal Jayatunga, Additional Secretary, Ministry of Environment

2.2 The proposals made in the Cabinet Memorandum dated 26.12.2024 are to revoke five Cabinet decisions related to the EOI process and renewable energy projects above 50 MW and to appoint two committees to formulate technology specific (for solar and wind) standardized tariffs (considering geographical locations, the investment on transmission interconnection to be included in the tariff) and a non-negotiable Standardized Power Purchase Agreement, for the 47 renewable energy power projects referred in the Cabinet

Memorandum, which have been under the EOI process, and submit the same to the Cabinet of Ministers for the approval.

2.3 It was noted that the Hon. Attorney General by the letter no. E/486/2024 dated 20.12.2024 has provided legal advice on the new approach proposed in the Cabinet Memorandum dated 26.12.2024. It was advised to negotiate with the project proponents and convince them to accept the new technology-specific Standardized Power Purchase Agreement (SPPA) in order to bring them within the statutory exception and obviate any concerns over a contravention of the Electricity Act. Further it is advised that the adoption to this new approach may be for the own interest of the developers.

2.4 The Expression of Interest (EOI) process was examined by the Committee. An invitation for proposals to generate and supply of electrical energy from renewable energy resources on Build Own and Operate (BOO) was published in the Extraordinary Gazette Notification No. 2246/24 dated 21.09.2024 by then State Ministry of Solar, Wind and Hydropower Generation Projects Development with the approval of the Cabinet of Ministers no.21/1598/318/042 dated 30.08.2021. Accordingly prospective investors (foreign and/or local) were invited to submit their proposals to develop and generate electrical energy through renewable energy resources such as Solar (Floating/Ground Mounted), Wind (Ground based/Offshore), Biomass etc. and supply such electrical energy to the Ceylon Electricity Board. The minimum electrical generation capacity of a single project shall not be less than 50 MW, and the prospective Investors after being screened and shortlisted shall be required to fulfil the requirement of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) and Sri Lanka Sustainable Energy Authority Act No. 35 of 2007. All proposals received were to be screened and shortlisted for the purpose of "structuring such proposals as projects" capable to be implemented under the provisions of aforesaid two Acts and "National Procurement Guidelines Applicable for Private Sector Investments for Infrastructure Projects"

2.5 A total of 533 proposals were received in response to the invitation and 136 proposals out of 533 proposals were unique to a specific location, each representing a single proposal per location. 49 out of 139 investors confirmed their continued interest to proceed with their proposals and able to secure the requisite lands for the implementation of respective projects. These were submitted to the Cabinet of Ministers through the Cabinet Memorandum dated 31.05.2024 and approval was obtained for implementation of a procedure stipulated in the Section 2 of that Memorandum.

2.6 A new legislation, Sri Lanka Electricity Act No.36 of 2024 which will govern the electricity industry has been passed by the Parliament of Sri Lanka and certified on 27.06.2024. The new Act will come into effect from the appointed date of 27.06.2025 and current legal provisions for the procurement of electricity in the Sri Lanka Electricity Act No. 20 of 2009, on which the EOI process was initiated, will cease on that day. Thereafter.

Section 11 and Subsection 29(3) of the Sri Lanka Electricity Act No. 36 of 2024 will be relevant for the procurement.

2.7 Committee discussed the environmental and financial benefits of utilization of renewable energy sources, particularly solar and wind. Potential savings of the solar and wind energy were calculated by the Sri Lanka Sustainable Energy Authority and given in the table below.

Solar Power (at plant factor of 19%)

Capacity (MW)	Annual Generation (GWh/yr)	Carbon saving (tons/year)
1	1.66	1,198.37
10	16.64	11,983.68
100	166.44	119,836.80

Wind Power (at plant factor of 38%)

Capacity (MW)	Annual Generation (GWh/yr)	Carbon saving (tons/year)
1	3.33	2,396.74
10	33.29	23,967.36
100	332.88	239,673.60

3. Present Status of EOI Projects

3.1 Approval of the Cabinet of Ministers was obtained to implement the project proposals received through the EOI process for the locations which only a single proposal was received for a particular site through the Cabinet decision No. 24/1057/621/053 dated 11.06.2024. Forty nine (49) projects have been identified as "only one proposal received for a unique location" to be further proceeded in pursuance to the said Cabinet approval. Present status of the projects is given in the table below.

Status	No. of Projects	Capacity (cumulative for each group)
Provisional Approval issued (note: this is the step one of the approval process)	35	3,366 MW
LOI issued by the CEB	10	1,497 MW
Energy Permit approved but not issued	03	300 MW
Energy Permit issued (most advanced stage of readiness)	07	538 MW
Initial stage	09	690 MW
Rejected	05	313 MW

3.2 As mentioned in the paragraph 2 of the Cabinet Memorandum dated 26.2.2024, two projects that came through EOI process; (i) 700 MW Solar Park Facility at Poonakary Tank on BOO basis with 20 year operational period and (ii) 100 MW solar park facility at Oddamawadi on BOO basis and construction of 132 kV transmission facility on turnkey facility, were already approved by the Cabinet of Ministers for awarding.

4. Observations of the Committee

4.1 The legal opinion of the Hon. Attorney General vide letter dated 20.12.2024 was studied by the Committee. It was noted that the procurement procedure is adopted in the EOI process can be re-aligned with the Section 43(4) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) and Hon. Attorney General also stated that a requirement to follow a transparent procurement process has been established in the process. Further it is noted that it has been stated in the Gazette notification that this procurement will fall into the "National Procurement Guidelines Applicable for Private Sector Investments for Infrastructure Projects" which is a standard procurement procedure of the GoSL. This implies the National Procurement Guidelines Applicable for Private Sector Investments for Infrastructure Projects - Part II - Chapter XIV -1998. Therefore this stage of the EOI process could be considered as a prequalification of developers and proceed further by the introduction of suitable competitive procurement methodology to avoid the contravention the Act.

4.2 However, the absence of "Standardized Tariff" and "Standardized Power Purchase Agreement" for the renewable energy projects of the capacity exceeding 10 MW threshold as required in the Subsection 43(4)(b) of the Electricity Act No.20 of 2009 causes a limitation on the EOI process. This issue was identified by then Ministry of Power and Energy and submitted a Cabinet Memorandum dated 21.02.2023 to address the issue i.e. to establish a calculation methodology for the determination of Standardized Tariff and to prepare a SPPA for the purchase of electrical energy generated using renewable sources above the capacity of 10 MW, and approval of the Cabinet of Minister on 13.03.2023 But the decision has not yet been implemented. The proposals made in the recent Memorandum dated 26.12.2024 and previous Memorandum dated 21.02.2023 are mostly similar.

4.3 Hon. Attorney General by the letter no. E/486/2024 dated 20.12.2024 has also advised to negotiate with the project proponents and convince them to accept the new technology-specific Standardized Power Purchase Agreement (SPPA) in order to bring them within the statutory exception and obviate any concerns over a contravention of the Electricity Act. Further it is advised that the adoption to this new approach may be in the own interest of the developers. This implies that the adoption of the approach suggested in the Memorandum dated 26.12.2024 would be done in consultation and with the consent of developers who were in the process, to avoid possible legal action by the involved parties.

4.4 It was noted that the prospective developers have made significant financial and procedural commitments based on assurances implied through government approvals. Also a number of developers have found and reserved the required land for their respective projects, which is a critical factor in implementing renewable energy projects.

4.5 The Electricity Act No. 36 of 2024 will come into force on 27.06.2025 and the legal provisions of the 2009 Act, through which EOI process would have been accommodated through a standardized tariff and a PPA, will come to an end. Therefore it is necessary to finalize the renewable energy projects initiated through EOI process prior to lapse of the legal provisions, by signing Standardized Power Purchase Agreements.

4.6 A limited number of projects have achieved satisfactory progress such as obtaining the Energy Permit or being closer to obtain the Energy Permit, Letter of Intent (LOI), earmarked the required lands etc. and therefore it is worth to device a mechanism to proceed with these projects, while adhering to the legal provisions and least cost principles, considering the lead time to bring a project up to this level and the requirement of addition of renewable based electricity to the national grid.

4.7 Integration of battery storage with solar energy projects is an essential requirement for the future solar projects considering the envisaged grid stability issues. Therefore this requirement may be included in the solar projects to be implemented under this scheme.

4.8 The extremely limited time window available for the conclusion by achieving the execution of Standardized Power Purchase Agreements with respect to the EOI projects by 27th June 2025 was also considered by the Committee.

5. Possible Remedial Measures

5.1 Two optional remedial measures could be recognized to proceed with the aforesaid projects within the legal framework of the Sri Lanka Electricity Act No.20 of 2009 (as amended) which are described below.

5.2 <u>Option 1</u>: Introduction of a "Standardized Tariff" and "Standardized Power Purchase Agreement -SPPA" for the renewable energy projects exceeding the threshold of 10 MW in accordance with the Section 43(4)(b) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) to bring the EOI projects within the statutory exemption. This was proposed in the Cabinet Memorandum No. 24/2324/825/012 dated 26.12.2024. Also the preparation of "Standardized Tariff" and SPPA was proposed in the Cabinet Memorandum dated 26.12.2024. It is required to advice the project proponents/developers to accept the "Standardized Tariff" and SPPA. This option may be the shortest possible solution with the concerns of the time limitation and solid legal background.

5.3 Option 2: Proceed with Limited Competitive Bidding under the National Procurement Guidelines Applicable for Private Sector Investments for Infrastructure Projects - Part II - Chapter XIV -1998 among the shortlisted/prequalified 49 proponents/developers, considering the facts referred in the paragraph 4 above to regularize this procurement to fall in line with the provisions Sri Lanka Electricity Act No. 20 of 2009 (as amended) with consultation with the relevant authorities.

6. Recommendations

6.1 Considering all above, it is recommended to opt for the proposal made in sub-paragraph 5.2 (Option 1) above to take further action on the subjected EOI projects.

6.2 The standardized tariff shall be reviewed by a Cabinet appointed committee and approved by the Cabinet of Ministers as per the Section 43(4)(b) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) to address potential cost overruns due to lack of competition in the process and to ensure the transparency. When recommending the tariff, the committee shall consider the tariffs of the recently awarded renewable energy projects through the open competitive procurement processes, economies of scale, and prevailing market conditions, given the economy has recovered to pre-crisis levels.

6.3 Adopting standardized tariffs through this methodology shall not set a precedent for any future procurements of renewable energy in the country.

6.4 It is recommended to allocate this task to a dedicated team including officers from the CEB and SLSEA, to expedite the process, to facilitate signing of SPPAs with all consenting investors, before 27th June 2025.

H.C.D.L Silva - Chairman
Deputy Secretary to the Treasury

Dr. Tilak Siyambalapitiya - Member
Chairman, Ceylon Electricity Board,

Prof. T.M.W.J.Bandaranayake - Member
Chairman
Sri Lanka Sustainable Energy Authority

Dr. Sunimal Jayatunga- Member
Additional Secretary
Ministry of Environment

K.L.R.C.Wijayasinghe, Member
Additional Secretary
Ministry of Energy

28 February 2025

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බලශක්ති අමාත්‍යාංශය
வலுசக்தி அமைச்சு
MINISTRY OF ENERGY

437, ගාලු පාර, කොළඹ 03 | 437, காலி வீதி, கொழும்பு 03 | 437, Galle Road, Colombo 03

මගේ අංකය / எனது இல / My No.	PE/DEV/02/04	ඔබේ අංකය / உமது இல / Your No.		දිනය / திகதி / Date	10 .03.2025

Cabinet Memorandum No: 28/2025/P

Cabinet Memorandum

Regularizing the Implementation of Renewable Energy Projects received through Expressions of Interests (EOI) process

1. Background

The State Ministry of Solar, Wind, and Hydro Power Generation projects Development initiated an Expression of Interest (EOI) process in 2021, inviting prospective investors to develop Renewable Energy Generation Projects with capacity of 50 MW or above. This established through cabinet memorandum 21/1598/318/043 of 30th August 2021 aiming to generate and supply electricity from solar, wind, and hydro sources under a Build, Own, and Operate model. Accordingly prospective investors (foreign and Local) were invited to submit their proposals to develop and generate energy through renewable energy through resources such as Solar (floating/Ground mounted), Wind (Ground based/Offshore), Biomass etc., and supply such electrical energy to the Ceylon Electricity Board (CEB). The Minimum Electrical generation capacity of a single project shall not be less than 50 MW. The prospective investors should require to fulfil the requirements of the Sri Lanka Electricity Act No.20 of 2009 (as amended) and Sri Lanka Sustainable Energy Authority (SLSEA) Act No.35 of 2007. A Total of 533 proposals were received in response to the invitation and 136 proposals out of 533 proposals were unique to a specific location, each representing a single proposal per location and 49 out of 139 investors confirmed their continued interest in to proceeding with their proposals.

Subsequently, several key Cabinet decisions were made to regulate the EOI process, such notable Cabinet Memoranda are:

- **Cabinet Memorandum 23/0426/621/016** (13th March 2023) approved a methodology for determining standardized tariffs for renewable energy procurement.
- **Cabinet Memorandum 23/0798/621/016-11** (2nd May 2023) introduced a revised methodology for tariff calculation for renewable energy.
- **Cabinet Memorandum 23/2381/621/070-1/TBR** (11th December 2023) approved a 700MW solar power project at the Poonakary tank, including a 750MWh battery and an additional 350MWh battery at the Killinochchi grid substation.
- **Cabinet Memorandum 24/0454/621/028** (11th March 2024) approved a 100MW solar power project at Oddamawadi, Batticaloa, with a 20-year operational period.
- Cabinet Memorandum 24/1057/621/053 (11th June 2024) provided for the implementation of renewable energy projects received through the EOI process.

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වෙබ් අඩවිය / இணையதளம் / Website — www.powermin.gov.lk

2. Current Status

Deviations from the established procurement procedure have been observed, particularly concerning compliance with the Sri Lanka Electricity Act No. 20 of 2009. Consequently, **Cabinet Memorandum 24/2324/825/012** was submitted on 26th December 2024, recommending the revocation of the aforementioned Cabinet decisions related to the EOI process.

In response, the Cabinet has given its decision on 21.01.2025 to form an Expert Committee with the chairmanship of the Deputy Secretary to the Treasury to conduct a comprehensive review of the Cabinet Memorandum dated 26.12.2024 (Annexure 01). Accordingly, the Secretary to the Ministry of Energy has appointed a five-member Expert Committee on 3rd February 2025 (Annexure 02). The committee was tasked with evaluating the potential legal and economic implications of the recommendations outlined in the Cabinet Memorandum to ensure compliance with regulatory frameworks and assessing their impact on the country's energy security. Subsequently, the Expert Committee has submitted its report on 28th February 2025 (Annexure 03).

3. Remedial Measures Recommended by the Expert Committee

As per the Report submitted by Expert Committee, two optional remedial measures were proposed to proceed with the specified 49 EOI projects within the legal framework of the Sri Lanka Electricity Act No. 20 of 2009 and those are as follows,

3.1 "Option 1: Introduction of a "Standardized Tariff" and "Standardized Power Purchase Agreement - SPPA" for the renewable energy projects exceeding the threshold of 10 MW in accordance with the Section 43(4)(b) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) to bring the EOI projects within the statutory exemption. This was proposed in the Cabinet Memorandum No. 24/2324/825/012 dated 26.12.2024. Also, the preparation of "Standardized Tariff" and SPPA was proposed in the Cabinet Memorandum dated 26.12.2024. It is required to advice the project proponents/developers to accept the "Standardized Tariff" and SPPA. This option may be the shortest possible solution with the concerns of the time limitation and solid legal background".

3.2 "Option 2: Proceed with Limited Competitive Bidding under the National Procurement Guidelines Applicable for Private Sector Investments for Infrastructure Projects - Part II - Chapter XIV -1998 among the shortlisted/prequalified 49 proponents/developers, considering the facts referred in the paragraph 4 in Annexure 01 to regularize this procurement to fall in line with the provisions Sri Lanka Electricity Act No. 20 of 2009 (as amended) with consultation with the relevant authorities".

3.3 Considering all above, the Expert Committee has submitted its recommendations as follows;

3.3.1 It is recommended to opt for the proposal made in sub-paragraph 3.1 (Option 1) above to take further action on the subjected EOI projects.

3.3.2 The standardized tariff shall be reviewed by a Cabinet appointed committee and approved by the Cabinet of Ministers as per the Section 43(4)(b) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) to address potential cost overruns due to lack of competition in the process to ensure the transparency. When recommending the tariff, the committee shall consider the tariffs of the recently awarded renewable energy projects through the open competitive procurement processes, economies of scale, and prevailing market conditions, given the economy has recovered to pre-crisis levels.

3.3.3 Adopting standardized tariffs through this methodology shall not set a precedent for any future procurements of renewable energy in the country.

3.3.4 It is recommended to allocate this task to a dedicated team including officers from the CEB and SLSEA, to expedite the process, to facilitate signing of SPPAs with all consenting investors, before 27th June 2025.

4. Recommendations

This Ministry considered Sri Lanka electricity Act No: 36 of 2024 which will govern the electricity industry has been passed by the parliament of Sri Lanka and will come to effect from the date of 27.06.2025. Therefore, the legal provisions for the procurement of electricity in the Sri Lanka Electricity Act No. 20 of 2009, on which the EOI process was initiated, will cease on that day. By considering all above this Ministry recommends;

4.1 To allow investors to select either option 1 (3.1) or option 2 (3.2) as per their preferences by considering the time constraint.

4.2 To determine the tariff using standardized formula updated periodically based on the geographic location, technology, and plant factors for the investors, who select option 1.

4.3 To authorize to the Secretary to the Ministry of Finance Planning and Economic Development to appoint Project Committee (PC) and Cabinet Approved Negotiating Committee (CANC) for option 1 and Bid Evaluation Committee (BEC), Standing High Level Procurement Committee (SHLPC), and High - Level Procurement Committee (HLPC) for option 2 as applicable to manage the procurement.

4.4 To authorize the Secretary to the Ministry of Energy to make necessary arrangements to proceed competitive bidding process with the investors, who select option 2.

4.5 To appoint a dedicated team to handle these projects comprising officers from the CEB and SLSEA, and establish steering committee chaired by the Secretary, Ministry of Energy to monitor and expedite the process, and to facilitate signing of SPPAs with all consenting investors, before 27th June 2025.

4.6 To consider the adoption of standardized tariffs through this methodology shall not established precedent for any future procurements of renewable energy in the country.

5. Approval

The approval of the Cabinet of Ministers is sought for the recommendations outlined in the sub paragraphs of 4.1, 4.2, 4.3, 4.4, 4.5 and 4.6 above.

Eng. Kumara Jayakody (M.P.)
Minister of Energy
10 .03.2025

Annexure 5

මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන අමාත්‍යාංශය (16)
நிதி, திட்டமிடல் மற்றும் பொருளாதார அபிவிருத்தி அமைச்சு
MINISTRY OF FINANCE, PLANNING AND ECONOMIC DEVELOPMENT

මහලේකම් කාර්යාලය, කොළඹ 01, ශ්‍රී ලංකාව. | செயலகம், கொழும்பு 01. இலங்கை. | The Secretariat, Colombo 01. Sri Lanka.

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මගේ අංකය / எனது இல. / My No.: MF/PE/CM/2025/65
ඔබේ අංකය / உமது இல. / Your No.: CP 25/0418/825/026
දිනය / திகதி / Date: 16.03.2025

Cabinet Memorandum

Observations of the Minister of Finance, Planning and Economic Development

Ministry : Energy

Heading and Date : Regularizing the Implementation of Renewable Energy Projects received through Expressions of Interests (EOI) process

10.03.2025

Proposals/ Requests : The approval of the Cabinet of Ministers is sought to;

1. To allow investors to select either option 1 (3.1) or option 2 (3.2) as per their preferences by considering the time constraint.
2. To determine the tariff using standardized formula updated periodically based on the geographic location, technology and plant factors for the investors who select option 1.
3. To authorize to the Secretary to the Ministry of Finance, Planning and Economic Development to appoint Project Committee (PC) and Cabinet Approved Negotiating Committee (CANC) for option 1 and Bid Evaluation Committee (BEC), Standing High Level Procurement Committee (SHLPC) and High Level Procurement Committee (HLPC) for option 2 as applicable to manage the procurement.

4. To authorize the Secretary to the Ministry of Energy to make necessary arrangements to proceed competitive bidding process with the investors, who select option 2.
5. To appoint a dedicated team to handle these projects comprising officers from the CEB and SLSEA and establish steering committee chaired by the Secretary, Ministry of Energy to monitor and expedite the process and to facilitate signing of SPPAs with all consenting investors before 27th June 2025.
6. To consider the adoption of standardized tariffs through this methodology shall not established precedent for any future procurements of renewable energy in the country.

Observations : 1. I agree with the proposals No. 4.1 to 4.6 of the Cabinet Memorandum.

Further, I am of the view that it is appropriate to obtain the clarification of the National Procurement Commission regarding the implementation of "option 1 and 2" as proposed in paragraph 4.1 and 4.4 of the Cabinet Memorandum, since, the prospective investors were already invited to submit proposals through Expressions of Interests (EOI) process.

2. Moreover, it is also highlighted the fact that the technology specific standardized power purchase agreement should be negotiated with the investors as advised by the Hon. Attorney General by his letter dated 20.12.2024 with respect to the above.

Anura Kumara Dissanayake

Minister of Finance, Planning and Economic Development

Annexure 6

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අමාත්‍ය මණ්ඩල කාර්යාලය
அமைச்சரவை அலுவலகம்
OFFICE OF THE CABINET OF MINISTERS

CABINET DECISION අමාත්‍ය මණ්ඩල තීරණය அமைச்சரவைத் தீர்மானம்

මගේ අංකය: අමප/25/0418/825/026 2025 මාර්තු මස 25 දින.

පිටපත්:

ජනාධිපති ලේකම්.
නීතිපති.
අග්‍රාමාත්‍ය ලේකම්.
සභාපති, ශ්‍රී ලංකා මහජන උපයෝගිතා කොමිෂන් සභාව.
විගණකාධිපති.

ක්‍රියා කළ යුතු:

මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන අමාත්‍යාංශයේ ලේකම්.
බලශක්ති අමාත්‍යාංශයේ ලේකම්.
සභාපතිනි, ජාතික ප්‍රසම්පාදන කොමිෂන් සභාව.
සභාපති, ලංකා විදුලිබල මණ්ඩලය.
සභාපති, ශ්‍රී ලංකා සුනිත්‍ය බලශක්ති අධිකාරිය.

අභිප්‍රාය පළ කිරීමේ යෝජනා කැඳවීමේ ක්‍රියාවලිය හරහා ලැබී ඇති <u>පුනර්ජනනීය බලශක්ති ව්‍යාපෘති ක්‍රියාවට නැංවීම විධිමත් කිරීම</u>

(බලශක්ති ගරු ඇමතිතුමා ඉදිරිපත් කළ 2025-03-10 දිනැති සංදේශය)

2025 මාර්තු මස 17 දින පැවැත්වුණු අමාත්‍ය මණ්ඩල රැස්වීමේදී එළඹි තීරණයක් අවශ්‍ය කටයුතු සඳහා මේ සමඟ එවා ඇත.

ජේ.ජයසුන්දර
අතිරේක ලේකම්

අ.කළේ/ ඩබ්ලිව්.එම්.ඩී.ජේ.ප්‍රනාන්දු
අමාත්‍ය මණ්ඩලයේ ලේකම්

16. අමාත්‍ය මණ්ඩල පත්‍රිකා අංක 25/0418/825/026 වූ, "අභිප්‍රාය පළ කිරීමේ යෝජනා කැඳවීමේ ක්‍රියාවලිය හරහා ලැබී ඇති පුනර්ජනනීය බලශක්ති ව්‍යාපෘති ක්‍රියාවට නැංවීම විධිමත් කිරීම" යන මැයෙන් බලශක්ති ඇමතිතුමා ඉදිරිපත් කළ 2025-03-10 දිනැති සංදේශය- ඉහත සඳහන් සංදේශය, පහත කරුණු සමඟ මෙම රැස්වීමේදී සලකා බලන ලදී:

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(I) සංදේශයට ඇමුණුම - 03 ලෙස යා කොට තිබූ, අමප අංක 24/2324/825/021 පිළිබඳව වූ 2025-01-06 දිනැති අමාත්‍ය මණ්ඩල තීරණය පරිදි අභිප්‍රාය පළ කිරීමේ යෝජනා කැඳවීමේ ක්‍රියාවලිය හරහා ලැබී ඇති පුනර්ජනනීය බලශක්ති ව්‍යාපෘති ක්‍රියාත්මක කිරීම විධිමත් කිරීම සම්බන්ධයෙන් බලශක්ති අමාත්‍යාංශයේ ලේකම් විසින් පත් කරන ලද විශේෂඥ කමිටුවේ 2025-02-28 දිනැති වාර්තාව; සහ

(II) මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන ඇමතිතුමාගේ 2025-03-16 දිනැති නිරීක්ෂණ.

මෙ පිළිබඳව සාකච්ඡා කිරීමෙන් අනතුරුව, පහත සඳහන් පරිදි තීරණය කරන ලදී:

(i) ප්‍රථම කොට, සංදේශයේ 4 ඡේදයේ 4.1 සහ 4.4 අනුඡේදයන්හි නිර්දේශිත පරිදි කටයුතු කිරීම පිළිබඳව ජාතික ප්‍රසම්පාදන කොමිෂන් සභාවේ අදහස් හා එකඟතාව ලබා ගැනීමට අවශ්‍ය පියවර ගැනීම;

(ii) පහත සඳහන් පරිදි අනුමැතිය ලබා දීම:

(අ) ඉහත (i)හි සඳහන් පරිදි ජාතික ප්‍රසම්පාදන කොමිෂන් සභාව විසින් එකඟතාව ලබා දෙන්නේ නම්, අභිප්‍රාය පළ කිරීමේ යෝජනා ඉදිරිපත් කර ඇති ආයෝජකයින් අතුරින්, බලශක්ති අමාත්‍යාංශය/ලංකා විදුලිබල මණ්ඩලය විසින් මෙතෙක් අනුගමනය කරනු ලැබ ඇති ක්‍රමවේදය අනුව යම් නීතිමය බැඳීමක් පවතින ආයෝජකයින්ට පමණක් අදාළ වන පරිදි ඉහත (I)හි සඳහන් විශේෂඥ කමිටුව විසින් නිර්දේශිත විකල්පය - 1 හෝ විකල්පය - 2 තෝරාගැනීම සඳහා එකී ආයෝජකයින්ට අවස්ථාව ලබා දීම සඳහා;

(ආ) මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන ඇමතිතුමාගේ නිරීක්ෂණවල 2 ඡේදයෙහි දක්වා

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ඇති කරුණු කෙරෙහි නිසි සැලකිල්ලක් යොමු කරමින් කටයුතු කිරීමට යටත්ව, සංදේශයේ 4 ඡේදයේ 4.2 අනුඡේදයෙහි නිර්දේශිත පරිදි කටයුතු කිරීම සඳහා;

(ඇ) සංදේශයේ 4 ඡේදයේ 4.6 අනුඡේදයෙහි නිර්දේශිත පරිදි කටයුතු කිරීම සඳහා;

(iii) ඉහත (i)හි සඳහන් පරිදි ජාතික ප්‍රසම්පාදන කොමිෂන් සභාවේ එකඟතාව ලබා දී ඇති බව තහවුරු කර ගැනීමට යටත්ව, සංදේශයේ 4 ඡේදයේ 4.3 අනුඡේදයෙහි දක්වා ඇති පරිදි කටයුතු කිරීම පිණිස මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන අමාත්‍යාංශයේ ලේකම් වෙත බලය පැවරීම; සහ

(iv) සංදේශයේ 4 ඡේදයේ 4.5 අනුඡේදයෙහි නිර්දේශිත පරිදි අදාළ පුනර්ජනනීය බලශක්ති ව්‍යාපෘති මෙහෙයවීම සඳහා විශේෂ කණ්ඩායමක් පත් කිරීම පිණිස සහ එම ව්‍යාපෘති අධීක්ෂණය කිරීම, කඩිනම් කිරීම හා නීතිමය බැඳීමක් පවතින ආයෝජකයින් සමඟ සම්මත විදුලිය මිල දී ගැනීමේ ගිවිසුම් අත්සන් තැබීමට අදාළව පහසුකම් සැලැස්වීම පිණිස අධීක්ෂණ කමිටුවක් පත් කිරීම සඳහා බලශක්ති අමාත්‍යාංශයේ ලේකම් වෙත බලය පැවරීම.

ක්‍රියා කළ යුතු: **මුදල්, ක්‍රමසම්පාදන සහ ආර්ථික සංවර්ධන අමාත්‍යාංශය**

බලශක්ති අමාත්‍යාංශය - ගරු ඇමතිතුමාගේ අවධානයට යොමු කිරීම පිණිස - ඉහත නිරීක්ෂණ යා කොට ඇත.

සභාපතිනි, ජාතික ප්‍රසම්පාදන කොමිෂන් සභාව - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

සභාපති, ලංකා විදුලිබල මණ්ඩලය - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

සභාපති, ශ්‍රී ලංකා සුනිත්‍ය බලශක්ති අධිකාරිය - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

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පිටපත්:

ජනාධිපති ලේකම් - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

නීතිපති - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

අග්‍රාමාත්‍ය ලේකම් - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

සභාපති, ශ්‍රී ලංකා මහජන උපයෝගිතා කොමිෂන් සභාව - සංදේශයේ පිටපතක් හා ඉහත නිරීක්ෂණ යා කොට ඇත.

16. Cabinet Paper No.25/0418/825/026, a Memorandum dated 2025-03-10 by the Minister of Energy on "**Regularizing the implementation of Renewable Energy Projects received through Expressions of Interest (EOI) Process**" - the above Memorandum was considered along with the following, at this meeting:

    (I) the Report dated 2025-02-28 submitted by the Expert Committee appointed by the Secretary, Ministry of Energy pertaining to regularizing the implementation of Renewable Energy Projects received through the Expressions of Interest Process in terms of the Cabinet decision dated 2025-01-06 on CP No.24/2324/825/021, attached as *Annex-03* to the Memorandum; and

    (II) the observations of the Minister of Finance, Planning and Economic Development dated 2025-03-16.

    After discussion, it was decided -

    (i) to take necessary action to obtain the views and the concurrence of the National Procurement Commission pertaining to pursuing action as recommended in sub-paragraphs 4.1 and 4.4 in paragraph 4 of the Memorandum, in the first instance;

    (ii) to grant approval as follows:

        (a) if the concurrence is granted by the National Procurement Commission as referred to at (i) above, to provide the opportunity for the investors, from among those who have submitted Expressions of Interest, to select Option-1 or Option-2 recommended by the Expert Committee referred to at (I) above, as applicable only for the investors who have any legal commitment in accordance with the methodology adopted by the Ministry of Energy/Ceylon Electricity Board up to now;

Contd./02-

(b) to pursue action as recommended in sub-paragraph 4.2 in paragraph 4 of the Memorandum, subject to taking action giving due consideration to the matters stated in paragraph 2 of the observations of the Minister of Finance, Planning and Economic Development;

(c) to take action as recommended in sub-paragraph 4.6 in paragraph 4 of the Memorandum;

(iii) to authorize the Secretary, Ministry of Finance, Planning and Economic Development to pursue action as stated in sub-paragraph 4.3 in paragraph 4 of the Memorandum, subject to ensuring that the concurrence of the National Procurement Commission has been granted as per (i) above; and

(iv) to authorize the Secretary, Ministry of Energy to appoint a Special Team to handle the relevant Renewable Energy Projects and to appoint a Steering Committee to monitor, expedite and facilitate the signing of the Standardized Power Purchase Agreements with the investors having a legal commitment pertaining to the above projects as recommended in sub-paragraph 4.5 in paragraph 4 of the Memorandum.

Action by: **My/Finance, Planning and Economic Development**
My/Energy - to be brought to the notice of the Hon. Minister - above observations annexed.
Chairperson, National Procurement Commission - copy of Memorandum and above observations annexed.
Chairman, Ceylon Electricity Board - copy of Memorandum and above observations annexed.
Chairman, Sustainable Energy Authority of Sri Lanka - copy of Memorandum and above observations annexed.

Contd./03-

Copied to: **Secretary to the President** - copy of Memorandum and above observations annexed.
Attorney General - copy of Memorandum and above observations annexed.
Secretary to the Prime Minister - copy of Memorandum and above observations annexed.
Chairman, Public Utilities Commission of Sri Lanka - copy of Memorandum and above observations annexed.

Checked by: 1. KAP
2. ...

Annexure 7

ජාතික ප්‍රසම්පාදන කොමිෂන් සභාව
தேசிய பெறுகை ஆணைக்குழு
National Procurement Commission

මගේ අංකය / எனது இலக்கம் / My Number	NPC/PP/01/CL-103/2025	ඔබේ අංකය / உமது இலக்கம் / Your Number		දිනය / திகதி / Date	2?.04.2025

Ministry of Energy

02 MAY 2025

Additional Secretary (Development & Procurement)

Secretary,
Ministry of Energy.

Regulating the Implementation of Renewable Energy Projects Received through Expression of Interests (EOI) Process.

This refers to the letter No. PE/DEV/04/02 dated 03rd April 2025 issued by the Secretary, on the above subject.

02. This is to inform you that the National Procurement Commission has discussed the contents of the aforementioned letter and the Cabinet Memorandum No: 25/0418/825/026 and the decision for the same at the Commission Meeting held on the 03rd April , 2025 wherein it was decided to inform you that;

I. For Recommendation 4.1 of the Cabinet Memorandum the Commission grants its concurrence, subject to;

   a. Allowing investors to select either Option 1 or Option 2, or both Options as recommended by the expert committee.

   b. Evaluating and selecting suitable investors through a mechanism determined by the relevant project committee.

   c. Incorporating these provisions into the procurement documents.

II. For Recommendation 4.2 of the Cabinet Memorandum the Commission grants its concurrence.

III. For Recommendation 4.3 of the Cabinet Memorand the Commission grants its concurrence

Please act accordingly.

Addl Sec (Dev, Pr)

D.C. Siribaddana,
Secretary General,
National Procurement Commission.

FNA-p1

Copy :- Secretary to the Cabinet of Ministers, Office of the Cabinet of Ministers. (f.y.i pls)

Dir Fina

ජාතික ප්‍රසම්පාදන කොමිෂන් සභාව, අංක 44 (B90), ආර්. ජී. සේනානායක මාවත, කොළඹ 07.
தேசிய பெறுகை ஆணைக்குழு, இலக்கம் 44(B90), ஆர். ஜீ. சேனாநாயக்க வீதி, கொழும்பு 07.
National Procurement Commission, No 44 (B90), R.G. Senanayaka Mawatha, Colombo 07.

දුරකථන / தொலைபேசி / Telephone 011-2665152 | ෆැක්ස් / தொலைநகல் / Fax 011-2665162 | විද්‍යුත් තැපැල / மின்னஞ்சல் / E-mail | වෙබ් අඩවිය / இணையத்தளம் / Web Site

Annexure 8

June 11, 2025

The Chairman
Cabinet Appointed Negotiation Committee

Submission to Cabinet Appointed Negotiation Committee

Purpose/ Objective	:	Introduction of a "Standardized Tariff" and Standardized Power Purchase Agreement-SPPA" for the renewable energy projects exceeding the threshold of 10 MW in accordance with the Section 43(4)(b) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) to bring the EOI projects within the statutory exemption
Originated by	:	Ministry of Energy
Recommended by	:	Project Committee appointed by Department of Public Finance by the letter No. PFD/PMD/App/Energy/2025/01/15 dated 16/05/2025
Tabled at CANC held on	:	-
Document No	:	-

1. **Background and requirement:**

(i) In 2022, the StateMinistry of Solar, Wind & Hydro Generation Projects Development invited prospective project proponents to develop renewable energy (RE) generation projects with capacities of 50 MW or above by an Expression of Interest (EOI) Process, which was to be followed by a Request for Proposals (RFP) process after screening of the proposals received. Out of the 533 proposals submitted, 49 projects of both solar power and wind power have been preliminarily screened through the EOI process, but did not proceed to the next stage as originally planned.

(ii) The Cabinet of Ministers, as per the Decision dated March 17, 2025 (Annex-01) has granted approval to provide an opportunity for investors who have any legal commitments under the methodology adopted by Ministry/CEB thus far, to select one of the two options. Option-1 is to proceed with the introduction of a "Standardized Tariff" and a "Standardized Power Purchase Agreement (SPPA)" for RE projects exceeding 10 MW, in order to bring them within the statutory exemption under the existing Sri Lanka Electricity Act (SLEA), in light of anticipated changes to the legal framework of the electricity sector with the enforcement of new legislation.

(iii) The PC noted that the above-mentioned Cabinet Decision regarding the two procurement processes under Option-01 and Option-02, was made, subject to due consideration to the observations of the Minister of Finance, Planning and Economic Development, as well as the concurrence of the National Procurement Commission (NPC), if granted (Annex-02).

2. Need of Work:

To obtain approval of the CANC for the "Standardized Tariff" and "Standardized Power Purchase Agreement" for RE projects exceeding 10 MW in order to proceed with execution of the Cabinet Decision by providing opportunity for the investors to select either option 1 or option 2 as per their preferences to develop the projects.

3. Project Implementation Process:

PC scrutinized the Standardized Tariff proposed and the draft SPPA formulated/reviewed by the respective committees, appointed by the Secretary to the Ministry of Energy. PC adopted the following guidelines and procurement procedure, in line in line with the items 3 &4 in letter of appointment of the CANC and PC and the Cabined Decision.

(i) Procurement Guidelines:

Government Tender Procedure Part II (Private Sector Infrastructure Projects) of 1998 and Public Finance Circular 2/2019 dated March 16, 2019 (Amendment to Part II of Government Tender Procedure on Private Sector Infrastructure Projects related to Public Private Partnership (PPP) basis.

(ii) Acts:
The Electricity Act No. 20 of 2009 and subsequent amendments.
SLSEA Act No. 35 of 2007

(iii) Project Implementation procedure:

Introduction of a "Standardized Tariff" and Standardized Power Purchase Agreement -SPPA" for the RE projects exceeding 10 MW and inviting the existing 49 investors of EOI projects for selection of option-1 or option-2 as allowed in the above-referenced Cabinet Decision.

Proceed with the investors who select option-01 above, subject to the concurrence of the Public Utilities Commission of Sri Lanka (PUCSL).

4. Recommendations:

PC recommends to,

4.1 obtain the concurrence of the Public Utilities Commission of Sri Lanka, in principle, for the introduction of a "Standardized Tariff" and Standardized Power Purchase Agreement -SPPA" for the RE projects exceeding 10 MW, to be presented to the existing 49 investors of EOI projects, for selection of option-1 or option-2, as permitted by the above-referenced Cabinet Decision.

4.2 obtain approval of the Cabinet of Ministers for the "Standardized Tariff" and Standardized Power Purchase Agreement.

4.3 obtain approval of the Public Utilities Commission of Sri Lanka for the "Standardized Tariff" and Standardized Power Purchase Agreement.

4.4 proceed with the investors who select option-01 above and fulfil the requirements specified in the SPPA.

5. Documents Attached:

Annex-01: Cabinet Decision dated March 17, 2025
Annex-02: NPC concurrence letter No. NPC/PP/01/CL dated April 25, 2025

This PC report contains 03 pages and 02 Annexes as attachments to this report.

Name	Position	Agree with the above recommendation/s (Yes/No)	Signature
Eng. A J De Z Wickramaratne	DGM (Tr. O&M - North), CEB	Yes	
Mr. G. Chandrasena,	Chief Financial Officer, Ministry of Energy	Yes	
Mr. K. Sathyakumar	Director, M/Finance, Planning & Economic Dev.	Yes	
Eng. R. A. L. Ranawaka	DGM (Private Power Development), CEB	yes	
Eng. H. A. Vimal Nadeera	DDG (Supply Side Mgmt.), SLSEA	Yes	
Eng. K. G. C. Jayasekara	Director, (Research & Dev.), SLSEA	Yes	
Eng. A. A. Weerasingha	CE (Samanalawewe P.S.), CEB	Yes	
Eng. R. M. I. K. K. Rajapaksha	CE (Regulatory Affairs), CEB	Yes	
Mr. W. A. K. D. Premathilake	AFM (Generation), CEB	Yes	
Mrs. P. H. A. Rishanthi	Legal Office, CEB	Yes	
Eng. D. L. D. A. Lakshitha	Project Manager (Siyambalanduwa S. P), CEB	Yes	
Mr. Nandana Gunaratne	Senior Project Officer, NAPPP	Yes.	

Annexure 9

July 14, 2025

The Chairman
Cabinet Appointed Negotiation Committee

Submission to Cabinet Appointed Negotiation Committee

Purpose/ Objective	:	Submission of observations and recommendations of the Project Committee regarding the comments of the EOI developers on the draft Standardized Power Purchase Agreement and Standardized Tariff formulated to bring the EOI projects within the statutory exemption.
Originated by	:	Ministry of Energy
Recommended by	:	Project Committee appointed by Department of Public Finance by the letter No. PFD/PMD/App/Energy/2025/01/15 dated 16/05/2025
Tabled at CANC held on	:	**12.06.2025 and 16.06.2025**
Document No	:	-

1. **Background and requirement:**

   (i) The PDF document of the Draft Standardized Power Purchase Agreement, submitted by the Project Committee to the CANC, was shared with 49 EOI developers on 16.06.2025, in accordance with the CANC decision, for submitting their comments and positions, including proposals for the Standardized Tariff, within 10 days.

   (ii) Accordingly, 29 EOI developers responded and submitted their comments on the Draft SPPA. These comments were forwarded to the Procurement Committee (PC) by letter dated 27.06.2025, addressed to the Chairman of the PC by the Additional Secretary (Development & Procurement) of the Ministry of Energy. The PC was requested to review the comments and submit its report with recommendations for amendments to the draft SPPA and the Standardized Tariff, to enable the CANC to make a decision for submission to the Cabinet of Ministers for approval.

2. **Need of Work:**

   To submit the Procurement Committee's observations and recommendations to enable the CANC to make a decision for submission to the Cabinet of Ministers for approval of the "Standardized Tariff" and "Standardized Power Purchase Agreement" for renewable energy projects exceeding 10 MW.

3. **PC Observations on EOI developers, comments on Draft SPPA and Standardized Tariff:**

   The Procurement Committee perused the comments received from the EOI developers regarding the proposed "Standardized Tariff" and the draft "Standardized Power Purchase Agreement" formulated for renewable energy projects exceeding 10 MW. A summary of the PC's observations on the EOI developers' comments is attached as Annex 01.

   The PC observed that the following points have merit for revising the Draft SPPA while no change is proposed to the Standardized Tariff.

a. The threshold applicable to Change in Law events under Clause 9.2.1 shall be revised to be specified on a per megawatt (MW) basis. e.i LKR 300,000.00 per MW, (*as Guaranteed Plant Capacities vary across EOI projects*).

b. "The period of five hundred and forty Days", as written in words defining the term "Defect Liability Period" in Schedule 1, should be corrected to "seven hundred and thirty Days" (*as the value written in words erroneously differs from the numerical value*).

c. The element denoted by the letter 'D' of the Buyout Price specified in Schedule 13, Annex - 02 shall be revised as follows, (as the equity subscriptions paid into the Project Company and spent on the Project need to be more realistically captured subject to a cap);

Element 'D":

Construction period value shall equal one hundred percent (100%) of the sum of all equity subscriptions paid into the Project Company and spent on the Project until the Transfer Date, with deductions, as represented by the audited financial statements, to reflect the following:

(i) the extent to which amounts actually incurred by the Project Company exceed the total project cost, subject to the note below on the total project cost and equity-to-loan ratio;

(ii) any adjustments for non-compliance with the Minimum Functional Specification;

(iii) any loans disbursed by Finance Parties but not expended by the Project Company; and

(iv) any liquidated damages liabilities that the Project Company might have reasonably been expected to incur.

Note:

The following terms will apply in determining elements A, B, C, and D:

1. **Total Project Cost;**

The total project cost shall be the **lower of**:

(a) the cost estimated when deriving the Standardized Tariff applicable to this Agreement; or

(b) the actual project cost as shown in the audited financial statements, audited by a recognized international accounting firm in accordance with International Accounting Standards.

2. **Equity-to-Loan Ratio;**

If the actual ratio of total equity to total loan under the Financial Agreements differs from the ratio used in deriving the Standardized Tariff, the **actual ratio shall prevail**.

4. Recommendations:

Accordingly, PC recommends to revise the following Clauses of the SPPA.

1. The threshold applicable to Change in Law events under Clause 9.2.1 shall be revised to be specified on a per megawatt (MW) basis. e.i LKR 300,000.00 per MW.
2. "The period of five hundred and forty Days", as written in words defining the term "Defect Liability Period" in Schedule 1, should be corrected to "seven hundred and thirty Days".
3. The element denoted by the letter 'D' of the Buyout Price specified in Schedule 13, Annex - 02 shall be revised as proposed under item 3 (c) above.

4. Documents Attached:

Annex-01: The summary of the PC observations on the EOI developers' comments
Annex -02: A copy of the letter dated 27.06.2025, addressed to the Chairman, PC, by Additional Secretary (Dev. & Procurement), Ministry of Energy, regarding the handover of EOI developer comments for PC's observations and recommendations.

This PC report contains 03 pages and 02 Annexes as attachments to this report.

Name	Position	Agree with the above recommendation/s (Yes/No)	Signature
Eng. A J De Z Wickramaratne	DGM (Tr. O&M - North), CEB	Yes	[signature]
Mr. G. Chandrasena,	Chief Financial Officer, Ministry of Energy		
Mr. K. Sathyakumar	Director, M/Finance, Planning & Economic Dev.	Yes	[signature]
Eng. R. A. L. Ranawaka	DGM (Private Power Development), CEB	Yes	[signature]
Eng. H. A. Vimal Nadeera	DDG (Supply Side Mgmt.), SLSEA	Yes	[signature]
Eng. K. G. C. Jayasekara	Director, (Research & Dev.), SLSEA	Yes	[signature]
Eng. A. A. Weerasingha	CE (Samanalawewe P.S.), CEB	Yes	[signature]
Eng. R. M. I. K. K. Rajapaksha	CE (Regulatory Affairs), CEB	Yes	[signature]
Mr. W. A. K. D. Premathilake	AFM (Generation), CEB	Yes	[signature]

out of the country.

Mrs. P. H. A. Rishanthi	Legal Office, CEB	Yes	
Eng. D. L. D. A. Lakshitha	Project Manager (Siyambalanduwa S. P), CEB	Yes	
Mr. Nandana Gunaratne	Senior Project Officer, NAPPP	Yes	

The Chairman
Project Committee

Submission of observations and recommendations of the project Committee regarding the comments of the EOI developers on the draft Standardized Power Purchase Agreement and Standardized tariff formulated to bring the EOI projects within the statutory exemptions

This refers to the PC report dated 14.07.2025 sent by you via WhatApp on the above matter.

I kindly noted that currently I am out of the country and I agreed hereby with the recommendations of the Project Committee report dated 14.07.2025.

G Chandrasena 25/07/17
Member of the PC
Chief Financial Officer
Ministry of Energy

Annexure 10

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இலங்கை மின்சார சபை
CEYLON ELECTRICITY BOARD

Report on the Status and Interconnection Requirements of Leading EOI Projects (As of June 30th, 2025)

Transmission & Generation Planning Branch
Ceylon Electricity Board
Colombo 02
August 2025

Summary

This report presents a comprehensive overview of the current status and interconnection requirements for ten leading renewable energy projects submitted under the Expression of Interest (EOI) process, as of June 30, 2025. These projects, comprising nine solar power plants and one wind power plant, represent a total installed capacity of 838 MW and have all obtained energy permits from the relevant authorities. The selected projects have demonstrated the most significant progress in regulatory approvals and technical readiness through a transparent and impartial shortlisting process.

Strategically located across Sri Lanka, the projects align with the national goal of increasing the share of renewable energy in the generation mix. Detailed project information—including developer details, capacity, project status, and interconnection requirements—is summarized in the report, along with the required transmission infrastructure and associated cost estimates for each project.

The report highlights necessary transmission network developments such as new or upgraded substations and transmission lines. Transmission network development costs fall under the scope of the Ceylon Electricity Board (CEB), while plant interconnection costs are under the scope of investors, The total required investment for transmission and interconnection infrastructure highlights the need for timely coordination between developers and the CEB.

Two key recommendations are outlined:

1. **Electromagnetic Transient (EMT) Studies** – All project proponents must complete detailed EMT studies to validate grid compatibility. Grid Concurrence will be granted only upon satisfactory completion of these studies.
2. **Compliance with the Long-Term Generation Expansion Plan (LTGEP)** – Project interconnections must align with the Renewable Capacity and Grid-Scale Storage Plan specified in the LTGEP 2025–2044.

Ultimately, the successful integration of these renewable projects depends on coordinated planning, timely infrastructure development, and strict adherence to grid requirements. These efforts will contribute significantly to Sri Lanka's clean energy transition, enhance grid reliability, and support national objectives for sustainability and energy security.

1. Introduction

This report provides an overview of the current status and interconnection requirement costs of the most leading ten renewable energy projects submitted under the Expression of Interest (EOI) process as of June 30, 2025. The projects are geographically distributed across Sri Lanka and contribute to the country's strategy of increasing renewable energy penetration. The report summarizes the basic project details, project approval status and the required transmission infrastructure, including estimated costs for transmission development and plant interconnection.

2. Overview

The ten shortlisted projects comprise nine solar power projects and one wind power project, all initiated by Private Investors. These projects collectively harness Sri Lanka's abundant renewable energy resources and are located in areas identified by the Sri Lanka Sustainable Energy Authority (SLSEA). The 50 MW Wind Power Project in Kalpitiya is the only Wind Power project among the shortlisted projects. The total combined installed capacity from these projects is **838 MW**, supporting the Government's long-term vision for a cleaner and more resilient energy mix.

Table 1 below summarizes the basic details and project approval status of each of the shortlisted projects.

Table 1: The basic details and project approval status of each of the shortlisted projects.

S. No.	SEA No	Developer Details	Project Name	Type	Capacity (MW)	Status
1	40610	Solar Forge (Pvt) Ltd	100MW Solar Plant, Oddamawadi, Batticaloa	Solar	100	EP issued. Cabinet approval received to award the contract. Awaiting PUCSL Approval.
2	40620	Solar Forge (Pvt) Ltd	60 MW Solar Plant, Monaragala, Sewanagala	Solar	60	EP issued. Grid Concurrence isued.
3	41330	Seek Energy (Pvt) Ltd	100MW Solar Plant,Punanai West	Solar	100	EP approved and not issued. LOI and Grid Interconnection Proposal issued.
4	41340	3W Power Management Ltd	100MW Solar Plant ,Nilaveli	Solar	100	EP approved & not issued. LOI and GIP issued.

S. No.	SEA No	Developer Details	Project Name	Type	Capacity (MW)	Status
5	41130	Prime Road Alternative Company Ltd	100MW Solar PV Project ,Kilinochchi (Karachchi)	Solar	100	EP approved & not issued. GIP issued.
6	40670	Ceylon Electric Power Development (Pvt) Ltd	50MW Solar Power Project, Jaffna	Solar	50	EP approved & not issued. LOI and GIP issued.
7	41360	Orbital Energy (Earth Bound) Pte Ltd	100MW Solar Plant, Muthur, Trincomalee	Solar	100	EP issued on Sep 27, 2024. GIP issued.
8	41880	Ethimale Solar Power (Pvt) Ltd	108MW Solar Plant,Ethimale, Siyambalanduwa	Solar	108	EP issued. IP and LOI issued.
9	42040	Melwire Rolling (PVT)Ltd	70 MW Solar Power Plant ,Puttalam	Solar	70	Energy Permit issued on Oct 09, 2024.GIP issued.
10	41900	Asia Wind Power (pvt) Ltd,	50MW Wind Power Project, Kalpitiya	Wind	50	EP issued. LOI received. GIP issued.

EP= Energy Permit, LOI = Letter of Intent, GIP= Grid Interconnection Proposal

The geographic location of each project along with the required transmission network is provided in Annex 1.

3. Shortlisting Criteria

The ten shortlisted projects highlighted in this report are those that have made the most significant progress in the approval process. Notably, the SLSEA has either approved or issued energy permits for all of them.

4. Transmission Network Requirements

Each project requires a set of transmission infrastructure developments, including new or upgraded substations and transmission lines. Table 2 below summarizes the required transmission infrastructure, including estimated costs for transmission network development and plant interconnection for each project.

For each project, the required transmission network development cost, which falls under the CEB's scope, includes the base cost for 2025, contingencies, administrative expenses, taxes, and duties. In contrast, the plant interconnection cost, which is within the investor's scope, generally includes only the base cost for 2025, contingencies, taxes, and duties. The base cost for both transmission network development and plant interconnection has been escalated only up to 2025. (The foreign currency cost escalation factor is 2.6%, while the local currency cost escalation factor is 6.5%.)

The cost of all projects was estimated based on the 2024 Cost Database, developed for the Long-Term Transmission Development Plan (LTTDP) 2025–2034. For all cost estimations, the conversion rate used is 1 US$ = LKR 297.65

Table 2:The required Transmission Development and Plant interconnection Cost (in MLKR)

S. No.	Project Name	Required Transmission Development	Estimated Total Cost for Tx. Development (MLKR) -2025	Status of Transmission Development	Estimated Total Cost for Plant Interconnection (MLKR) -2025
1	100MW Solar Plant , Oddamawadi, Batticaloa	None	-	-	**5262**
2	60 MW Solar Plant, Monaragala, Sewanagala	Reconstruction of New Laxapana - Balangoda 132kV Transmission Line with Zebra	4833	Discussed to be funded from ADB	4428
3	100MW Solar Plant,Punanai West	None	-	-	5315
4	100MW Solar Plant, Nilaveli	Construction of New Habarana - Kappalturei 220 kV transmission line, Development of New Habarana - PSPP- Kirindiwela 400kV Transmission Network	74745	AIIB Loan Agreement to be signed in the mid-August, 2025	10952

S. No.	Project Name	Required Transmission Development	Estimated Total Cost for Tx. Development (MLKR) -2025	Status of Transmission Development	Estimated Total Cost for Plant Interconnection (MLKR) -2025
5	100MW Solar PV Project, Kilinochchi (Karachchi)	Construction of 220kV N Collector, Construction of 400kV backbone line N-Collector-Vavniya-New Habarana (intially operated at 220kV), 125 MV Synchronous condensor at N Collector	78940	Discussed to be funded from AIIB, Preliminary Line survey & Substation Land selection under process.	9182
6	50MW Solar Power Project, Jaffna	Vavuniya Grid Substation 220kV Development	8695	Discussed to be funded from World Bank, Substation land was acquired	4108
7	100MW Solar Plant, Muthur, Trincomalee	Construction of New Habarana - Kappalturei 220 kV transmission line	19666	AIIB Loan Agreement to be signed in the mid-August, 2025	8631
8	108MW Solar Plant,Ethimale , Siyambalanduwa	Construction of Monaragala 220/132kV Grid Substation and associated Transmission Development	25188	Seeking a funding Agency	9288
9	70 MW Solar Power Plant, Puttalam	Construction of Norochcholai – Wariyapoal 220 kV transmission line, Modification of New Norchcholai Switching station (SS) and associated development, Construction of Wariyapola Switching Station (SS)	21587	Discussed to be funded from AIIB. Wariyapola SS land was selected, Land acquiring process to be completed.	7020
10	50MW Wind Power Project, Kalpitiya	None	-	-	8265

The detailed scope of each plant interconnection and required transmission development is provided in Annex 2.

5. Recommendations

1. **Requirement for EMT Studies and Grid Concurrence**

It is recommended that project proponents of the shortlisted projects conduct detailed Electromagnetic Transient (EMT) studies to assess the feasibility of interconnection with the proposed transmission network arrangement. Final Grid Concurrence from CEB will only be granted upon satisfactory completion of these studies.

The Point of Common Coupling (PCC) shall be located at the high-voltage (HV) side of the collector grid of each project. Project proponents must comply with all relevant requirements specified in the latest version of the Grid Code. Any corrective measures identified through the EMT studies—particularly related to power output, reactive power management, and voltage conditions at the PCC—must be fully implemented and the project cost must be revised accordingly.

2. **Alignment with Long-Term Generation Expansion Plan (LTGEP)**

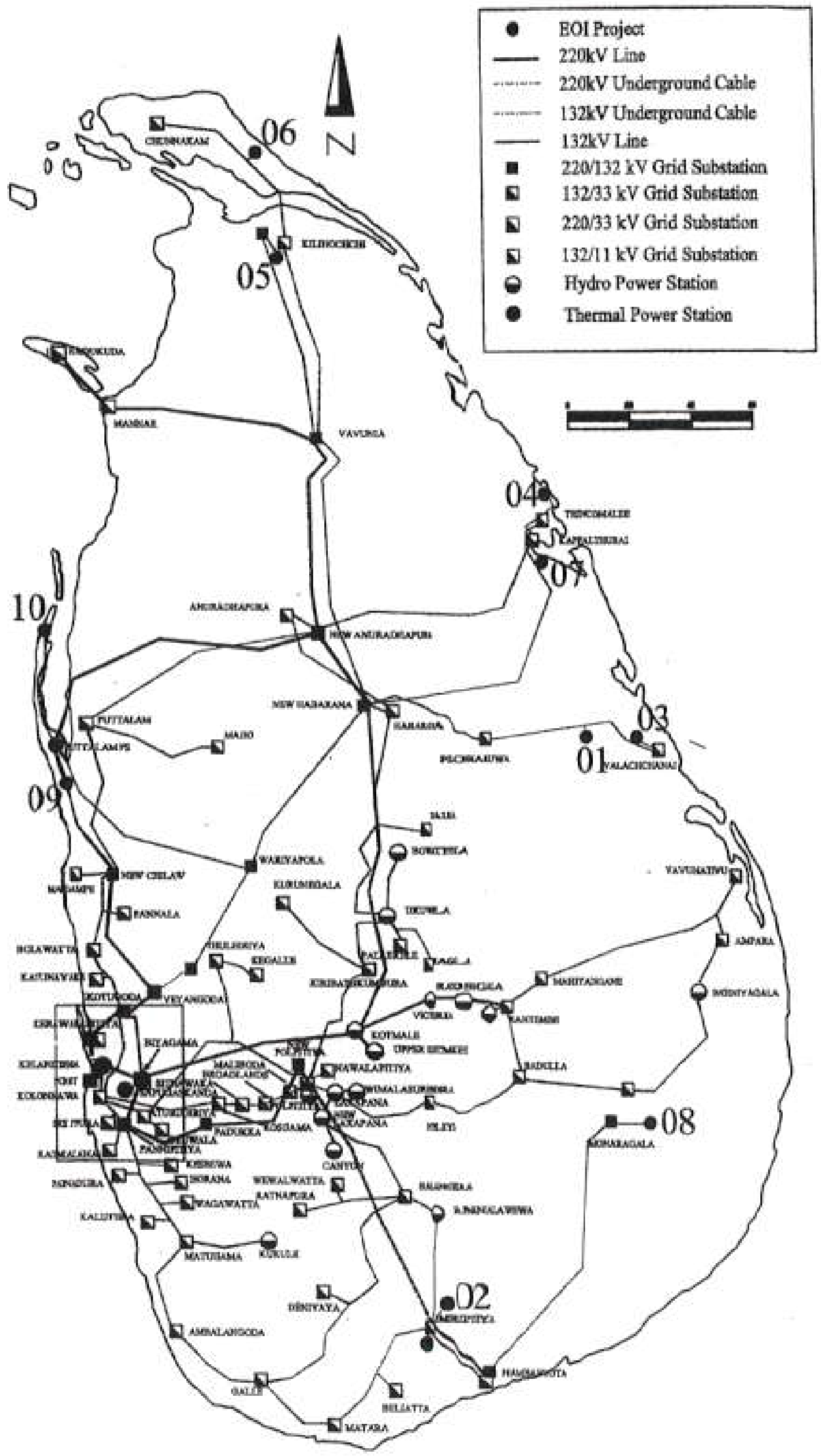
The interconnection of these plants shall be subject to the capacity additions specified in the *Renewable Capacity & Grid-Scale Energy Storage Capacity Additions and Retirements Plan* of the Long-Term Generation Expansion Plan (LTGEP) 2025–2044.

6. Conclusion

The required transmission developments are tailored to ensure the seamless integration of these renewable energy plants into the national grid. The total investment for grid interconnection and transmission facilities is significant, underscoring the importance of early-stage coordination between project developers and CEB.

The strategic investment in grid infrastructure ensures the long-term viability of these renewable energy assets while contributing to national targets for carbon neutrality and energy security. A coordinated effort between developers and regulatory agencies will be essential to ensure these projects are completed on time and contribute meaningfully to national energy security and sustainability goals.

The Map of Sri Lanka Transmission System for Leading EOI Projects (as of June 30th, 2025)



S. No.	Project Name
1	100MW Solar Plant , Oddamawadi, Batticaloa
2	60 MW Solar Plant, Monaragala, Sewanagala
3	100MW Solar Plant,Punanai West
4	100MW Solar Plant ,Nilaveli
5	100MW Solar PV Project ,Kilinochchi (Karachchi)
6	50MW Solar Power Project, Jaffna
7	100MW Solar Plant, Muthur, Trincomalee
8	108MW Solar Plant,Ethimale, Siyambalanduwa
9	70 MW Solar Power Plant ,Puttalam
10	50MW Wind Power Project, Kalpitiya

Annex 2

S. No.	Project Name	Estimated Total Cost for Plant Interconnection (MLKR) - 2025	Project Scope of the Investor	Required Transmission Development
1	100MW Solar Plant , Oddamawadi, Batticaloa	**5262**	a) Construction of 132/33 kV Solar Collector Grid – 2 × 132/33 kV, 63 MVA power transformers with earthing transformers and auxiliary transformers. – 2 × 132 kV double busbar transformer bays (AIS) – 4 × 132 kV double busbar line bays (AIS) – 1 × 132 kV double busbar arrangement, including bus coupler – 2 × 33 kV transformer bays (GIS) – 5 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS). b) Construction of Double in and out transmission lines from New Habarana -Valachchenai 132kV, 0.2 km, Zebra, 2cct transmission line. c) Modification to existing 132kV protection and control facilities at New Habarana and Valachchenai GSS.	None
2	60 MW Solar Plant, Monaragala, Sewanagala	4428	a) Construction of 132/33 kV Solar Collector Grid – 1 × 132/33 kV, 75 MVA power transformer with earthing transformer (E.Tr.) and auxiliary transformer (Aux. Tr.) – 1 × 132 kV transformer bay (Feeder Transformer concept) – 1 × 132 kV transmission line bay (Feeder Transformer concept) – 1 × 33 kV transformer bay (GIS) – 3 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS) b) Construction of transmission line from Embilipitiya GSS to the Solar Collector, 17 km, Zebra, 1cct transmission line.	Reconstruction of New Laxapana - Balangoda 132kV Transmission Line with Zebra a) Removal of existing Lynx, 132kV transmission line and reconstruction of New Laxapana - Balangoda 44km, Zebra, 2cct, 132kV transmission line b) Replacement of 132kV Current Transformers in New Laxapana and Balangoda Grid Substations related to New Laxapana - Balangoda 132kV transmission line

S. No.	Project Name	Estimated Total Cost for Plant Interconnection (MLKR) - 2025	Project Scope of the Investor	Required Transmission Development
			c) Augmentation of Embilipitiya GSS.	
3	100MW Solar Plant,Punanai West	5315	a) Construction of 132/33 kV Solar Collector Grid – 2 × 132/33 kV, 63 MVA power transformers with earthing transformers (E.Tr.) and auxiliary transformers (Aux. Tr.) – 2 × 132 kV single busbar transformer bays (AIS) – 1 × 132 kV single busbar line bay (AIS) – 1 × 132 kV single busbar arrangement, including bus section – 2 × 33 kV transformer bays (GIS) – 5 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS) b) Construction of transmission line from Valachchenai GSS to solar Collector Grid,7 km, Zebra, 1 cct c) Augmentation of Valachchenai GSS.	None
4	100MW Solar Plant, Nilaveli	10952	a) Construction of 220/33 kV Solar Collector Grid – 2 × 220/33 kV, 63 MVA power transformers with earthing transformers (E.Tr.) and auxiliary transformers (Aux. Tr.) – 2 × 220 kV double busbar transformer bays (AIS) – 1 × 220 kV double busbar line bay (AIS) – 1 × 220 kV double busbar arrangement, including bus coupler – 2 × 33 kV transformer bays (GIS) – 5 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS)	Construction of New Habarana - Kappalturei 220 kV transmission line Development of New Habarana - PSPP- Kirindiwela 400kV Transmission Network a) Augmentation of New Habarana 220 kV switching station (2Nos of 220 kV double bus bar transmission line bays) b) Augmentation of Kirindiwela 220 kV switching station (2Nos of 220 kV double bus bar transmission line bays) c) Construction of New Habarana - PSPP- Kirindiwela 400 kV, 180km, 4x Moose, 2cct transmission line (initially 220kV Operation)

S. No.	Project Name	Estimated Total Cost for Plant Interconnection (MLKR) - 2025	Project Scope of the Investor	Required Transmission Development
			b) Construction of transmission line from Kappalthurai GSS to solar Collector Grid , 20 km , Zebra, 2 cct c) Augmentation of Kappalthurai GSS	
5	100MW Solar PV Project, Kilinochchi (Karachchi)	9182	a) Construction of 220/33 kV Solar Collector Grid – 2 × 220/33 kV, 63 MVA power transformers with earthing transformers (E.Tr.) and auxiliary transformers (Aux. Tr.) – 2 × 220 kV single busbar transformer bays (AIS) – 1 × 220 kV single busbar line bay (AIS) – 1 × 220 kV single busbar arrangement, including bus section – 2 × 33 kV transformer bays (GIS) – 5 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS) b) Construction of transmission line from N-Collector to solar Collector Grid, ,15km, Zebra, 1 cct. c) Augmentation of N-Collector	Development of Northern 400kV Transmission Network a) Construction of 220kV N_Collector (4x220kV double bus transmission line bays, 220kV double bus bar arrangement including bus coupler) b) Augmentation of New Habarana 220 kV switching station (2Nos of 220 kV double bus bar transmission line bays) c) Construction of New Habarana - Vavuniya - N_Collector 400 kV, 175km, 4x Moose, 2cct transmission line (initially 220kV Operation) Installation of 125 MVA Synchronous Condenser Unit at N Collector a) Installation of 125 MVA Synchronous Condenser Unit at 220kV bus bar of N-Collector Grid Substation, including 220 kV SYNCON bays, transformers and required control & Protection system)
6	50MW Solar Power Project, Jaffna	4108	a) Construction of 132/33 kV Solar Collector Grid – 1 × 132/33 kV, 63 MVA power transformer with earthing transformer (E.Tr.) and auxiliary transformer (Aux. Tr.) – 1 × 132 kV double busbar transformer bay (AIS) – 4 × 132 kV double busbar line bays (AIS) – 1 × 132 kV double busbar arrangement, including bus coupler – 1 × 33 kV transformer bay (GIS) – 3 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS)	Vavuniya Grid Substation 220kV Development a) Construction of Vavuniya 220/132kV Switching Station (2x150MVA, 220/132kV transformers, 220kV double bus bar arrangement including bus coupler, 2x220kV double busbar transformer bays, 6x220kV double busbar transmission line bays, 2x132kV transformer bays (without circuit breakers) b) Augmentation of Vavuniya 132/33kV Grid Station (Replacement of 132kV current transformers and protection and control modification of existing New Anuradhapura line bays)

S. No.	Project Name	Estimated Total Cost for Plant Interconnection (MLKR) - 2025	Project Scope of the Investor	Required Transmission Development
			b) Construction of Double in and out transmission lines from Kilinochchi to Chunnakum 132kV, 1.6 km, Zebra, 2cct transmission line. c) Modification to existing 132kV protection and control facilities at Kilinochchi and Chunnakum GSSs.	c) Construction of 132kV, 2xZebra, 0.5km, double circuit transmission line from Vavuniya 220/132kV Switching Station to Vavuniya 132/33kV Grid Substation
7	100MW Solar Plant, Muthur, Trincomalee	8631	a) Construction of 220/33 kV Solar Collector Grid – 2 × 220/33 kV, 63 MVA power transformers with earthing transformers (E.Tr.) and auxiliary transformers (Aux. Tr.) – 2 × 220 kV double busbar transformer bays (AIS) – 4 × 220 kV double busbar line bays (AIS) – 1 × 220 kV double busbar arrangement, including bus coupler – 2 × 33 kV transformer bays (GIS) – 5 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS) b) Construction of Double in and out transmission lines from Kappalthurai and Sampur Collector GSS 220kV, 1km, Zebra, 2cct transmission line. c) Modification to 220kV protection and control facilities at Kappalthurai and Sampur Collector GSS	Construction of New Habarana - Kappalturei 220 kV transmission line a) Construction of New Habarana - Kappalturei 77km, 220 kV, Conductor with a 1000MW rating, 2cct, transmission line b) Augmentation of New Habarana Grid Substation (Construction of 220 kV transmission line bay double bus bar)
8	108MW Solar Plant,Ethimale, Siyambalanduwa	9288	a) Construction of 220/33 kV Solar Collector Grid – 2 × 220/33 kV, 63 MVA power transformers with earthing transformers (E.Tr.) and auxiliary transformers (Aux. Tr.) – 2 × 220 kV single busbar transformer bays (AIS) – 1 × 220 kV single busbar line bay (AIS) – 1 × 220 kV single busbar arrangement, including bus section – 2 × 33 kV transformer bays (GIS) – 6 × 33 kV generator feeder bays (GIS)	Construction of Monaragala 220/132kV Grid Substation a) Construction of Monaragala 220/132kV Grid Substation (2x150MVA 220/132kV TF, 2x220kV TL bays, 2x 220kV TF bays, 2x132kV TF bays) b) Construction of 220kV, 2xZebra, 85km TL from Hambantota to Monaragala c) Construction of 220kV, 2 TL bays at Hambantota

S. No.	Project Name	Estimated Total Cost for Plant Interconnection (MLKR) - 2025	Project Scope of the Investor	Required Transmission Development
			– 1 × 33 kV single busbar arrangement, including bus section bay (GIS)bus section bay (GIS) b) Construction of transmission line from Monaragala 220kV SS to solar Collector Grid ,15km, Zebra, 1 cct. c) Augmentation of Manaragala 220kV SS	
9	70 MW Solar Power Plant, Puttalam	7020	a) Construction of 220/33 kV Solar Collector Grid – 1 × 220/33 kV, 80 MVA power transformer with earthing transformer (E.Tr.) and auxiliary transformer (Aux. Tr.) – 1 × 220 kV double busbar transformer bay (AIS) – 4 × 220 kV double busbar line bays (AIS) – 1 × 220 kV double busbar arrangement, including bus coupler – 1 × 33 kV transformer bay (GIS) – 4 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS) b) Construction of Double in and out transmission lines from Norchcholai and Wariyapola SS , 1km, 2 x Zebra, 2cct transmission lines. (Distance is assumed and yet to be finalized.) c) Modification to 220kV protection and control facilities at Norchcholai and Wariyapola SS	Construction of Norochcholai – Wariyapoal 220 kV transmission line, Modification of New Norchcholai Switching station (SS) a) Construction of 220kV transmission line from Norochcholai GIS to the proposed Wariyapola 220kV SS, 50 km, Twin Zebra double circuit transmission line. b) Augmentation of Norochcholai 220 kV GIS: i. Construct a new 220 kV GIS switching station at Norchcholai (one-and-a-half breaker arrangement with bus coupler, 4 line bays, and space for 4 future bays). ii. Connect the existing and new Norchcholai 220 kV GIS stations with two 0.4 km, 1600 mm² XLPE cables (length subject to final location). iii. Reassign the existing wind plant bay at the old station for interconnection between stations, and provide a dedicated bay at the new station for the wind plant with a 0.2 km 220 kV XLPE cable of matching rating. c) Construction of 220kV side of Wariyapola Switching Station: i. 220 kV Double bus bar Transmission line bay, 6 Nos with provision for 2 Nos of 220kV bays. ii. 220 kV Double bus bar transformer bay, 2 Nos.

S. No.	Project Name	Estimated Total Cost for Plant Interconnection (MLKR) - 2025	Project Scope of the Investor	Required Transmission Development
				iii. 220 kV Double bus bar bay (Including Bus Coupler)
10	50MW Wind Power Project, Kalpitiya	8265	a) Construction of 220/33 kV Wind Collector Grid – 2 × 220/33 kV, 75 MVA power transformers with earthing transformers (E.Tr.) and auxiliary transformers (Aux. Tr.) – 3 × 220 kV single busbar transformer bays (GIS) – 1 × 220 kV single busbar line bay (GIS) – 1 × 220 kV single busbar arrangement, including bus section (GIS) – 3 × 33 kV transformer bays (GIS) – 12 × 33 kV generator feeder bays (GIS) – 1 × 33 kV single busbar arrangement, including bus section bay (GIS) b) Laying of XLPE cable from Wind Collector to Norchcholai GSS, 0.2km. c) Modification to 220kV protection and control facilities at Norchcholai GSS	None

Annexure 11

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18 AUG 2025

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August 18, 2025

The Chairman
Cabinet Appointed Negotiation Committee

Submission to Cabinet Appointed Negotiation Committee

Purpose/ Objective	:	To check whether the development of transmission line infrastructure for EOI projects requiring transmission line interconnection longer than 10 km is consistent with the existing 10-year Transmission Plan and the Long-Term Generation Expansion Plan of the CEB, and whether fulfill the requirements of the plans.
Originated by	:	CANC
Recommended by	:	Project Committee appointed by Department of Public Finance by the letter No. PFD/PMD/App/Energy/2025/01/15 dated 16/05/2025
Tabled at CANC held on	:	29.07.2025
Document No	:	PC report No. 04

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1. **Background and requirement:**

(i) The technology-specific Standardized Tariffs and the draft Standardized Power Purchase Agreement (SPPA), formulated and recommended by the respective committees appointed by the Secretary to the Ministry of Energy were scrutinized and adopted by the Procurement Committee (PC) in its recommendation for the procurement as per PC report dated June 11, 2025.

(ii) The draft SPPA was shared with forty nine EOI developers on 16.06.2025, in accordance with the Cabinet Appointed Negotiation Committee (CANC) decision dated June12, 2025, for the purpose of obtaining their comments and positions including proposals for the Standardized Tariff within ten days.

(iii) Accordingly, twenty nine EOI developers responded and submitted their comments on the Draft SPPA along with their tariff proposals. These comments and tariff proposals were forwarded to the PC for its recommendations on any amendments to the draft SPPA and proposed Standardized Tariff.

(iv) Based on the comments received from EOI developers, the PC submitted its report dated July 14, 2025 with its observations and recommendations for amendments to the draft SPPA with no changes to the Standardized Tariff proposed.

(v) PC submitted a supplementary report dated July 24, 2025 recommending the technology-specific Standardized Tariffs (considering transmission line length of 10 km) and the draft Standardized Power Purchase Agreement incorporating the amendments recommended by the PC as per its report dated July 14, 2025.

(vi) CANC discussed at the CANC meeting held on 29.07.2025 the possibility of adding transmission infrastructure through the developers with an annuity payment since the majority of proposals included transmission lines longer than 10 km.

(vii) Accordingly, CANC decided to inform the GM, CEB, to submit a report with recommendations on whether the transmission lines longer than 10 km, as proposed by majority of EOI developers, are consistent with the existing 10-year Transmission Plan and the Long-Term Generation Expansion Plan of the CEB and fulfill the requirements of the plans.

(viii) The report submitted by GM, CEB to the Secretary, MOE on the Status and Interconnection Requirements of Leading EOI Projects (as of June 30th, 2025), was forwarded back to GM, CEB and the PC for the views and observations of the PC as per letter Ref: PE/TEN/CANC/SC/2025/21 dated August 13, 2025 addressed to GM, CEB. The aforementioned letter is attached (**Annex-01**).

2. Need of Work:

Submission of views and observations of the PC regarding the "Report on Status and Interconnection Requirements of Leading EOI Projects (as of June 30th, 2025)", submitted by GM, CEB to the Secretary, MOE by letter Ref: CE/TP/T93/ Vol V dated August 12, 2025. The aforementioned CEB report is annexed (**Annex-02**).

3. Overview of the CEB Report on the Status and Interconnection Requirements of Leading EOI Projects:

(i) The PC noted that the CEB report outlines the following key areas related to ten EOI projects (nine solar energy projects and one wind energy project), taken for analysis in view of their significant progress in regulatory approvals and technical readiness.

a) **Status of regulatory approvals** - Energy Permits have been issued by Sri Lanka Sustainable Energy Authority (SLSEA) for six projects, while Energy Permits have been approved by SLSEA for 04 projects (Note: PC observed that the number of EOI projects that have obtained Energy Permits should be corrected to seven).

b) **Plant interconnection requirements** – This includes the scope of collector substation and transmission line for interconnection, along with estimated costs, which are within the investor's scope.

c) **Transmission infrastructure development requirements** – This includes new or upgraded substations and transmission lines, along with estimated costs and status of funding arrangements, which fall under the CEB's scope.

Power Plant Interconnection:

(ii) The CEB report presents the scope of power plant interconnection requirements, including the configuration details of the collector substation and transmission line interconnection for the above 10 EOI projects, with estimated costs ranging from LKR 4.1 billion to LKR 10.9 billion, which fall within the investor's scope.

(iii) The interconnecting transmission line for the above 10 EOI projects range from 0.2 km to 20 km (0.2 km – 2 circuit line, 0.2 km – 1 circuit line, 1 km – 2 circuit line, 1 km – 2 circuit line, 1.6 km – 2 circuit line, 7 km – 1 circuit line, 15 km – 1circuit line, 15 km – 1 circuit line, 17 km – 2 circuit line, and 20 km – 2 circuit line).

Transmission Infrastructure Development:

(iv) Out of the above-mentioned ten EOI projects, three projects require no transmission infrastructure development for interconnecting the power plants to the existing Grid.

(v) The CEB report presents the scope of transmission infrastructure development required for evacuating power from each of the other seven EOI projects to the existing National Grid, with the estimated project costs ranging from LKR 4.8 billion to 74.7 billion, which fall under the CEB's scope.

Current status of Transmission Infrastructure Development:

(vi) The CEB report shows the current status of the development of transmission infrastructure required for evacuating power from these EOI project power plants to the existing National Grid, including the identification of funding agencies. The transmission infrastructure projects are expected to be funded by ADB, the World Bank, and AIIB, with the AIIB loan expected to be signed in mid-August 2025 for two such infrastructure developments, while the remaining projects are still at the discussion stage.

Project locations:

(vii) PC noted, as stated in the CEB report, that these projects collectively harness Sri Lanka's abundant renewable energy resources and are located in areas identified by the SLSEA.

Requirement for alignment of Capacity Additions with LTGEP

(viii) The CEB report highlights that the interconnection of these power plants shall be subject to the capacity additions specified in the "*Renewable Capacity & Grid Scale Energy Storage Capacity Additions and Requirements Plan*" of the Long-Term Generation Expansion Plan (LTGEP) 2025-2044.

Requirement for EMT Studies and Grid Concurrence

(ix) The CEB report also states that these EOI project proponents are required to conduct Electromagnetic Transient (EMT) studies to assess the feasibility of interconnection with the proposed transmission network arrangement, as final grid concurrence will only be granted upon satisfactory completion of these studies.

Requirement for Timely implementation of infrastructure development

(x) The CEB report emphasizes that the successful integration of these renewable projects depends on coordinated planning, timely infrastructure development, and strict adherence to grid requirements, with the required transmission developments tailored to ensure the seamless integration of these renewable energy plants into the National Grid.

4. Renewable Capacity Addition Plan of LTGEP 2025-2044

The anticipated renewable capacity additions for grid connected Solar and Wind in each year as illustrated in the **Table 10.1 – Base Case Scenario 2025-2044** of the LTGEP 2025-2044 are as follows. A copy of the pages containing the aforementioned table is attached (**Annex-03**).

Year	*Renewable Capacity Additions*		*Year*	*Renewable Capacity Additions*	
	*Grid connected Solar (*cumulative)*	*Wind*		*Grid connected Solar (*cumulative)*	*Wind*
2025	*50*	*10*	*2035*	*200 (2,420)*	*100 (1,360)*
2026	*220 (270)*	*90 (100)*	*2036*	*250 (2,670)*	*100(1,460)*
2027	*250 (520)*	*260 (360)*	*2037*	*250 (2,920)*	*100 (1,560)*
2028	*300 (820)*	*200 (560)*	*2038*	*250 (3,170)*	*100 (1,660)*
2029	*300 (1,120)*	*150 (710)*	*2039*	*250 (3,420)*	*100 (1,760)*
2030	*300 (1,420)*	*150 (860)*	*2040*	*250 (3, 670)*	*100 (1,860)*
2031	*200 (1, 620)*	*100 (960)*	*2041*	*300 (3,970)*	-
2032	*200 (1,820)*	*100 (1,060)*	*2042*	*300 (4,270)*	-
2033	*200 (2,020)*	*100 (1,160)*	*2043*	*300 (4,570)*	*500(offshore) (2,360)*
2034	*200 (2,220)*	*100 (1,260)*	*2044*	*300 (4,870)*	-

5. Views and Observations of PC on the CEB Report

In light of the facts presented in the CEB report referred to above, the observations of the PC regarding the implementation of grid-connected solar and wind energy EOI projects are as follows:

Plant interconnection

(i) The PC observed that in some EOI projects, the transmission interconnection length from the collector substation to the transmission infrastructure development identified in the Transmission Development Plan exceeds 10 km, whereas only a transmission line length of 10 km has been considered in the formulation of Standardized Tariff, with cost factors optimally determined on that basis.

(ii) The PC wishes to state that any transmission interconnection segment from the collector substation to the transmission infrastructure development identified in the Transmission Development Plan, falls outside the scope of such Plan, irrespective of whether it exceeds 10 km. Accordingly, transmission interconnection segment exceeding 10 km related to each of the above EOI projects does not fall within the scope of Transmission Development Plan.

Alignment of Projects with LTGEP

(iii) The minimum anticipated date of commercial operation for a renewable power plant implemented under the EOI project scheme, from the date of signing the SPPA, is 33 months (considering 9 months for the Preliminary Period and 24 months for the construction period), i.e., **approximately mid-2028.**

(iv) As illustrated in the Renewable Capacity Addition table under item 04 above, the LTGEP 2025–2044 projects renewable energy capacity additions of 300 MW from grid-connected solar energy and 200 MW from wind energy in 2028.

(v) Therefore, it could be observed that the cumulative capacities of the above ten EOI projects (788 MW from solar energy and 50 MW from wind energy) can be implemented over several years, starting from 2028, in line with the LTGEP 2025-2044.

(vi) The equivalent capacities of the remaining EOI projects (over 2,600 MW from solar energy and over 650 MW from wind energy) may be accommodated within the anticipated capacity requirements over the respective years on a staggered timeline, as illustrated in the table under item 04 above, together with the renewable capacity additions from the other qualifying projects, in line with the LTGEP 2025-2044.

(vii) However, the PC observes that any prospective EOI project company entering into an SPPA with the CEB within the narrow window prevailing under the existing legal framework would be contractually bound to achieve commercial operation in 2028, as described under item 5 (iii) above. The limitations on progressive renewable capacity additions identified in the LTGEP from 2028 onward would, as of 2025, impose regulatory restrictions and legal implications on the number of EOI project companies that can enter into SPPAs under the existing framework. These restrictions should be addressed prior to signing SPPAs and issuing energy permits in the future.

Transmission Infrastructure Development

(viii) The PC also notes, as indicated in the CEB report, that the ten EOI projects identified therein collectively harness Sri Lanka's abundant renewable energy resources, are located in areas designated by the SLSEA, and that the requirement for transmission infrastructure development in these areas has been included in the CEB's Transmission Development Plan, while three EOI projects mentioned therein require no transmission infrastructure development.

(ix) PC noted that the funding arrangements for transmission infrastructure development are reaching finalization in connection with the two projects whereas the arrangements for the remaining projects are still at the discussion stage.

(x) The PC observed that the successful integration of these renewable projects requires coordinated planning and timely development of transmission infrastructure, both of which must progress in parallel to achieve the national renewable energy targets.

6. Documents Attached:

Annex-01: Letter Ref: PE/TEN/CANC/SC/2025/21 dated August 13, 2025 addressed to GM, CEB with a copy to Chairman- PC, requesting PC's comments on the CEB report

Annex-02: Report on Status and Interconnection Requirements of Leading EOI Projects (as of June 30th, 2025), submitted by GM, CEB to the Secretary, MOE by letter Ref: CE/TP/T93/ Vol V dated August 12, 2025

Annex -03: Table 10.1 – Base Case Scenario 2025-2044 of the LTGEP 2025-2044

This PC report contains 06 pages and 03 Annexes as attachments to this report.

Name	Position	Agree with the above recommendation/s (Yes/No)	Signature
Eng. A J De Z Wickramaratne	DGM (Tr. O&M - North), CEB	Yes	
Mr. G. Chandrasena,	Chief Financial Officer, Ministry of Energy	Yes	
Mr. K. Sathyakumar	Director, M/Finance, Planning & Economic Dev.	Ys	
Eng. R. A. L. Ranawaka	DGM (Private Power Development), CEB	Yes	
Eng. H. A. Vimal Nadeera	DDG (Supply Side Mgmt.), SLSEA	Yes	
Eng. K. G. C. Jayasekara	DDG, (Demand Side Mgmt.), SLSEA	Yes	
Eng. A. A. Weerasingha	CE (Samanalawewa P.S.), CEB	Yes	
Eng. R. M. I. K. K. Rajapaksha	CE (Regulatory Affairs), CEB	Yes	
Mr. W. A. K. D. Premathilake	AFM (Generation), CEB	Yes	
Mrs. P. H. A. Rishanthi	Legal Office, CEB	Yes	
Eng. D. L. D. A. Lakshitha	Project Manager (Siyambalanduwa S. P), CEB	Yes	
Mr. Nandana Gunaratne	Senior Project Officer, NAPPP	Yes.	

Annexure 12

<table>
<tr><td colspan="6">Minutes of the Cabinet Appointed Negotiation Procurement Committee (CANC) Meeting held at Ministry of Energy</td></tr>
<tr><td colspan="2">Name of the procurement committee</td><td colspan="2">CANC</td><td>Name of the Procurement Entity</td><td>Ceylon Electricity Board</td></tr>
<tr><td colspan="6">Introduction of a "Standardized Tariff" and Standardized Power Purchase Agreement – SPPA" for the renewable energy projects exceeding the threshold of 10MW in accordance with the section 43(4)(b) of the Sri Lanka Electricity Act No. 20 of 2009 (as amended) to bring the EOI projects within the statutory exemption</td></tr>
<tr><td>Meeting No:</td><td>05</td><td>Date</td><td>18.08.2025</td><td>Purpose</td><td>To consider the PC report dated 18.08.2025</td></tr>
<tr><td colspan="6">Members Present</td></tr>
<tr><td colspan="4">CANC Members
Mr. K R Uduwawala, - Chairman
Secretary, Ministry of Environment

Professor K T M Udayanga Hemapala - Member
Secretary, M/ Energy

Ms. Biyanka N Gamage - Member
Addl. DG, Public Debt Management Office</td><td colspan="2">PC Members
Eng. Janaka Wickramarathna, - Chairmam
DGM (Tr. O&M- North), CEB

Mr. G Chandrasena, - Member
Chief Financial Officer, Ministry of Energy

Mr. K Sathyakumar - Member
Director, M/ Finance, Planning & Economic Development

Eng. R A L Ranawaka, - Member
DGM (Private Power Development), CEB

Eng. H A Vimal Nadeera - Member
DDG (Supply Side Management), CEB

Eng. K G C Jayasekara, - Member
Director (Research & Dev.), SLSEA</td></tr>
<tr><td colspan="6">Document Tabled: PC report dated 18.08.2025</td></tr>
</table>

1. Background

1.1 In 2022, the State Ministry of Solar, Wind & Hydro Generation Projects Development invited prospective project proponents to develop renewable energy (RE) generation projects with capacities of 50 MW or above by an Expression of Interest (EOI) Process, which was to be followed by a Request for Proposals (RFP) process after screening of the proposals received. Out of the 533 proposals submitted, 49 projects of both solar power and wind power have been preliminarily screened through the EOI process, but did not proceed to the next stage as originally planned.

1.2 On the request of GM/CEB to appoint PC and CANC for the above procurement, CANC and PC has been appointed by Department of Public Finance on 16.05.2025.

1.3 The Cabinet of Ministers, as per the Decision dated March 17, 2025 (Annex-01) has granted approval to provide an opportunity for investors who have any legal commitments under the methodology adopted by Ministry/CEB thus far, to select one of the two options. Option-1 is to proceed with the introduction of a "Standardized Tariff" and a "Standardized Power Purchase Agreement (SPPA)" for RE projects exceeding 10 MW, in order to bring them within the statutory exemption under the existing Sri Lanka Electricity Act (SLEA), in light of anticipated changes to the legal framework of the electricity sector with the enforcement of new legislation.

1.4 The PC noted that the above-mentioned Cabinet Decision regarding the two procurement processes under Option-01 and Option-02, was made, subject to due consideration to the observations of the Minister of Finance, Planning and Economic Development, as well as the concurrence of the National Procurement Commission (NPC), if granted.

1.5 Drafted "Standardized Tariff" and "Standardized Power Purchase Agreement" for RE projects exceeding 10 MW in order to proceed with execution of the Cabinet Decision by providing opportunity for the investors to select either option 1 or option 2 as per their preferences to develop the projects have been submitted by respective Committees and PC has submitted their report dated 11.06.2025.

1.6 Drafted "Standardized Tariff" and "Standardized Power Purchase Agreement" have been summarized to the CANC by respective Committee members and PC has presented their stance.

1.7 The draft SPPA was shared with forty nine EOI developers on 16.06.2025, in accordance with the Cabinet Appointed Negotiation Committee (CANC) decision dated June 12, 2025, for the purpose of obtaining their comments and positions including proposals for the Standardized Tariff within ten days.

1.8 Accordingly, twenty nine EOI developers responded and submitted their comments on the Draft SPPA along with their tariff proposals. These comments and tariff proposals were forwarded to the PC for its recommendations on any amendments to the draft SPPA and proposed Standardized Tariff.

1.9 Based on the comments received from EOI developers, the PC submitted its report dated July 14, 2025 with its observations and recommendations for amendments to the draft SPPA with no changes to the Standardized Tariff proposed.

1.10 PC submitted a supplementary report dated July 24, 2025 recommending the technology-specific Standardized Tariffs (considering transmission line length of 10 km) and the draft Standardized Power Purchase Agreement incorporating the amendments recommended by the PC as per its report dated July 14, 2025.

1.11 CANC discussed at the CANC meeting held on 29.07.2025 the possibility of adding transmission infrastructure through the developers with an annuity payment since the majority of proposals included transmission lines longer than 10 km.

1.12 Accordingly, CANC decided to inform the GM, CEB, to submit a report with recommendations on whether the transmission lines longer than 10 km, as proposed by majority of EOI developers, are consistent with the existing 10-year Transmission Plan and the Long-Term Generation Expansion Plan of the CEB and fulfill the requirements of the plans.

1.13 The report submitted by GM, CEB to the Secretary, MOE on the Status and Interconnection Requirements of Leading EOI Projects (as of June 30th, 2025), was forwarded back to GM, CEB and the PC for the views and observations of the PC as per letter Ref: PE/TEN/CANC/SC/2025/21 dated August 13, 2025 addressed to GM, CEB.

2. Comments and stance of the PC

2.1 Need of Work:BEC reported that submission of views and observations of the PC regarding the "Report on Status and Interconnection Requirements of Leading EOI Projects (as of June 30th, 2025)", submitted by GM, CEB to the Secretary, MOE by letter Ref: CE/TP/T93/ Vol V dated August 12, 2025.

2.2 Overview of the CEB Report on the Status and Interconnection Requirements of Leading EOI Projects:

(i) The PC noted that the CEB report outlines the following key areas related to ten EOI projects (nine solar energy projects and one wind energy project), taken for analysis in view of their significant progress in regulatory approvals and technical readiness.

(ii) Status of regulatory approvals - Energy Permits have been issued by Sri Lanka Sustainable Energy Authority (SLSEA) for six projects, while Energy Permits have been approved by SLSEA for 04 projects (Note: PC observed that the number of EOI projects that have obtained Energy Permits should be corrected to seven).

(iii) Plant interconnection requirements – This includes the scope of collector substation and transmission line for interconnection, along with estimated costs, which are within the investor's scope.

(iv) Transmission infrastructure development requirements – This includes new or upgraded substations and transmission lines, along with estimated costs and status of funding arrangements, which fall under the CEB's scope.

2.3 Power Plant Interconnection:

(i) The CEB report presents the scope of power plant interconnection requirements, including the configuration details of the collector substation and transmission line interconnection for the above 10 EOI projects, with estimated costs ranging from LKR 4.1 billion to LKR 10.9 billion, which fall within the investor's scope.

(ii) The interconnecting transmission line for the above 10 EOI projects range from 0.2 km to 20 km (0.2 km – 2 circuit line, 0.2 km – 1 circuit line, 1 km – 2 circuit line, 1 km – 2 circuit line, 1.6 km – 2 circuit line, 7 km – 1 circuit line, 15 km – 1 circuit line, 15 km – 1 circuit line, 17 km – 2 circuit line, and 20 km – 2 circuit line).

2.4 Transmission Infrastructure Development:

(i) Out of the above-mentioned ten EOI projects, three projects require no transmission infrastructure development for interconnecting the power plants to the existing Grid.

(ii) The CEB report presents the scope of transmission infrastructure development required for evacuating power from each of the other seven EOI projects to the existing National Grid, with the estimated project costs ranging from LKR 4.8 billion to 74.7 billion, which fall under the CEB's scope.

2.5 **Current status of Transmission Infrastructure Development:**

(i) The CEB report shows the current status of the development of transmission infrastructure required for evacuating power from these EOI project power plants to the existing National Grid, including the identification of funding agencies. The transmission infrastructure projects are expected to be funded by

ADB, the World Bank, and AIIB, with the AIIB loan expected to be signed in mid-August 2025 for two such infrastructure developments, while the remaining projects are still at the discussion stage.

2.6 Project locations: PC noted, as stated in the CEB report, that these projects collectively harness Sri Lanka's abundant renewable energy resources and are located in areas identified by the SLSEA.

2.7 Requirement for alignment of Capacity Additions with LTGEP
The CEB report highlights that the interconnection of these power plants shall be subject to the capacity additions specified in the "*Renewable Capacity & Grid Scale Energy Storage Capacity Additions and Requirements Plan*" of the Long-Term Generation Expansion Plan (LTGEP) 2025-2044.

2.8 Requirement for EMT Studies and Grid Concurrence
The CEB report also states that these EOI project proponents are required to conduct Electromagnetic Transient (EMT) studies to assess the feasibility of interconnection with the proposed transmission network arrangement, as final grid concurrence will only be granted upon satisfactory completion of these studies.

2.9 Requirement for Timely implementation of infrastructure development
The CEB report emphasizes that the successful integration of these renewable projects depends on coordinated planning, timely infrastructure development, and strict adherence to grid requirements, with the required transmission developments tailored to ensure the seamless integration of these renewable energy plants into the National Grid.

2.10 Renewable Capacity Addition Plan of LTGEP 2025-2044
The anticipated renewable capacity additions for grid connected Solar and Wind in each year as illustrated in the Table 10.1 – Base Case Scenario 2025-2044 of the LTGEP 2025-2044 are as follows.

Year	*Renewable Capacity Additions*		*Year*	*Renewable Capacity Additions*	
	*Grid connected Solar (*cumulative)*	*Wind*		*Grid connected Solar (*cumulative)*	*Wind*
2025	*50*	*10*	*2035*	*200 (2,420)*	*100 (1,360)*
2026	*220 (270)*	*90 (100)*	*2036*	*250 (2,670)*	*100(1,460)*
2027	*250 (520)*	*260 (360)*	*2037*	*250 (2,920)*	*100 (1,560)*
2028	*300 (820)*	*200 (560)*	*2038*	*250 (3,170)*	*100 (1,660)*
2029	*300 (1,120)*	*150 (710)*	*2039*	*250 (3,420)*	*100 (1,760)*
2030	*300 (1,420)*	*150 (860)*	*2040*	*250 (3, 670)*	*100 (1,860)*
2031	*200 (1, 620)*	*100 (960)*	*2041*	*300 (3,970)*	-
2032	*200 (1,820)*	*100 (1,060)*	*2042*	*300 (4,270)*	-
2033	*200 (2,020)*	*100 (1,160)*	*2043*	*300 (4,570)*	*500(offshore) (2,360)*
2034	*200 (2,220)*	*100 (1,260)*	*2044*	*300 (4,870)*	-

3. Views and Observations of PC on the CEB Report

In light of the facts presented in the CEB report referred to above, the observations of the PC regarding the implementation of grid-connected solar and wind energy EOI projects are as follows:

3.1 Plant Interconnection

(i) The PC observed that in some EOI projects, the transmission interconnection length from the collector substation to the transmission infrastructure development identified in the Transmission Development Plan exceeds 10 km, whereas only a transmission line length of 10 km has been considered in the formulation of Standardized Tariff, with cost factors optimally determined on that basis.

(ii) The PC wishes to state that any transmission interconnection segment from the collector substation to the transmission infrastructure development identified in the Transmission Development Plan, falls outside the scope of such Plan, irrespective of whether it exceeds 10 km. Accordingly, transmission interconnection segment exceeding 10 km related to each of the above EOI projects does not fall within the scope of Transmission Development Plan.

3.2 Alignment of Projects with LTGEP

(i) The minimum anticipated date of commercial operation for a renewable power plant implemented under the EOI project scheme, from the date of signing the SPPA, is 33 months (considering 9 months for the Preliminary Period and 24 months for the construction period), i.e., approximately mid-2028.

(ii) As illustrated in the Renewable Capacity Addition table under item 04 above, the LTGEP 2025–2044 projects renewable energy capacity additions of 300 MW from grid-connected solar energy and 200 MW from wind energy in 2028.

(iii) Therefore, it could be observed that the cumulative capacities of the above ten EOI projects (788 MW from solar energy and 50 MW from wind energy) can be implemented over several years, starting from 2028, in line with the LTGEP 2025-2044.

(iv) The equivalent capacities of the remaining EOI projects (over 2,600 MW from solar energy and over 650 MW from wind energy) may be accommodated within the anticipated capacity requirements over the respective years on a staggered timeline, as illustrated in the table under item 04 above, together with the renewable capacity additions from the other qualifying projects, in line with the LTGEP 2025-2044.

(v) However, the PC observes that any prospective EOI project company entering into an SPPA with the CEB within the narrow window prevailing under the existing legal framework would be contractually bound to achieve commercial operation in 2028, as described under item 5 (iii) above. The limitations on progressive renewable capacity additions identified in the LTGEP from 2028 onward would, as of 2025, impose regulatory restrictions and legal implications on the number of EOI project companies that can enter into SPPAs under the existing framework. These restrictions should be addressed prior to signing SPPAs and issuing energy permits in the future.

3.3 *Transmission Infrastructure Development*

(i) The PC also notes, as indicated in the CEB report, that the ten EOI projects identified therein collectively harness Sri Lanka's abundant renewable energy resources, are located in areas designated by the SLSEA, and that the requirement for transmission infrastructure development in these areas has been included in the CEB's Transmission Development Plan, while three EOI projects mentioned therein require no transmission infrastructure development.

(ii) PC noted that the funding arrangements for transmission infrastructure development are reaching finalization in connection with the two projects whereas the arrangements for the remaining projects are still at the discussion stage.

(iii) The PC observed that the successful integration of these renewable projects requires coordinated planning and timely development of transmission infrastructure, both of which must progress in parallel to achieve the national renewable energy targets.

4. Matters discussed

4.1 HLPC noted that there are 10 project with Energy permits among the 49 projects and rest of the projects are still not eligible for the issuing of Energy permits. Further, it is noted that respective Power Purchase Agreement (PPA) has to be signed before Appointed Date of the new Electricity Act which will be fallen nearly after 04 months.

4.2 Thus, the Cabinet approval has to obtain to grant permission for those who fulfill all the basic requirements to sign the PPA and agree with the below mentioned proposed tariff, before the Appointed Date of the new Electricity Act to sign the PPAs.

Tariff for Solar - 18.00 LKR/kWh
Tariff for Wind - 20.30 LKR/kWh

4.3 For the developers who do not agree with the declared tariff due to their obligation to establish transmission lines exceeding 10km, HLPC noted that it is appropriate to inform them to negotiate with CEB to implement transmission line with an annuity payment, sign a separate transmission agreement and get the Cabinet approval before PPA signing. This also needed to done before the appointed Date of the new Electricity Act.

5. CANC decision

Considering the above, CANC decided the following;

(i) To approve the technology-specific Standardized Tariffs and the draft Standardized Power Purchase Agreement for renewable energy projects exceeding 10 MW, in order to bring the EOI projects within the statutory exemption under the existing Sri Lanka Electricity Act.

a) Technology specific Tariffs:
Tariff for Solar - 18.00 LKR/kWh
Tariff for Wind - 20.30 LKR/kWh

The technology-specific Standardized Tariffs recommended above have been formulated based on the financial input parameters listed in Annex-01

b) The Draft SPPA is attached (Annex -02)

(ii) To offer the short listed forty-nine EOI developers, who have obtained the Energy Permit, secured lands for the projects and fall within the capacity additions specified in the approved Long Term Generation Expansion Plan, as applicable, the technology-specific Standardized Tariffs mentioned at (i) a), and to invite them to sign the SPPA before the Appointed Date for the financing, design, engineering, construction, commissioning, operation and maintenance of the power plant, transmission line and related transmission infrastructure required to connect the respective EOI project to the national grid.

(iii) In the event that any EOI developer is unwilling to accept the offer specified under (ii) above, to consider such EOI developer, together with the offer under (ii) above, for negotiations, for the provision of services relating to the financing, design, engineering, construction, commissioning, and handing over of the transmission line and related transmission infrastructure identified in the approved CEB Transmission Development Plan, for the purpose of connecting the respective EOI project to the national grid under a suitable payment scheme, through a Transmission Agreement to be executed prior to the Appointed Date, subject to the subsequent approval of the Cabinet of Ministers.

Name	Capacity	Agree with the above decisions (Yes /No)	Signature
Mr. K R Uduwawala	Chairman	Yes	
Prof. K T M Udayanga Hemapala	Member	yes	
Ms. Biyanka N Gamage	Member	yes	

Annexure 13

Annex 1

Input Parameters	
SOFR	4.35%
Margin for SOFR	4%
AWPLR	8.78%
Margin for AWPLR	1.5%
Forecast USD:LKR Rate - Annual	Annually escalate the Ex Rate available in initial year of the construction year by 2.5%
Deposit Rate	7%
Corporate Tax Rate (%)	30%
Enhanced Capital Allowance (ECA)	100%
Capital Allowance Period	5 years
Capital Allowance and ECA loss carried forward upto	10th year
Depreciation (No. of Years)	20
LKR Loans DSRA Requirement (Months)	3
USD Loans DSRA Requirement (Months)	6
Working Capital Requirement	3 months from O&M expense
Equity IRR	11%
First Year Generation (kWh), Solar	218,000,000
Wind Capacity Utilization Factor (CUF)	42%
Second Year Degradation (%) for Solar	1%
Third Year Onwards Degradation (%) for Solar	0.4%
Second Year Degradation (%) for wind	0.5%
Third Year Onwards Degradation (%) for Wind	0.5%
Annual O&M Expense (Solar) in 1st year	0.1% of EPC cost
Annual O&M Expense (Wind)	0.006 USD/kWh
O&M Costs - Annual Escalation Rate (in USD Terms) for wind and solar	5%
Inverter replacement cost	5 MUSD
Inverter replacement year	11 Y
Total Project Cost Break Down in USD million-Solar	
Total EPC Cost	76.09
Financing Costs	1.52
IDC	3.81
DSRA Requirement	4.84
Total Project Cost Break Down in USD million-Wind	
Total EPC Cost	70.12
Financing Costs	1.4
IDC	3.51
DSRA Requirement	4.46
Finance Cost	2%
Debt : Equity	70:30
Solar PP	

USD Term Loan (USD)	77%
LKR Term Loan (USD)	23%
Wind PP	
USD Term Loan (USD)	77%
LKR Term Loan (USD)	23%
Loan Tenure	12
Grace Period	2
Tax Rates for Construction of Power Plant & Transmission Line	
Collector Sub	
VAT on Importation	18%
Tax for importation (CID,PAL, CESS, SSCL)	0%
Local VAT	18%
Local SSCL	2.50%
Transmission Line	
VAT on importation	18%
Tax for importation (CID, PAL, CESS & SSCL)	0%
Local VAT	18%
Local SSCL	2.50%